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No. _____ OFFICE OF THE CLERK

In The
Supreme Court of the United States
October Term, 1995

JAMES O'CONNOR,

Petitioner,

vs.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

Petition For Writ Of Certiorari
To The United States Court Of Appeals
For The Fourth Circuit

PETITION FOR WRIT OF CERTIORARI

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58 pp

QUESTIONS PRESENTED

1. Whether a plaintiff alleging discriminatory discharge under the Age Discrimination in Employment Act, 29 U.S.C. 621 *et seq.* (ADEA), may satisfy the fourth element of the *McDonnell-Douglas* prima facie case paradigm by showing that he was replaced by a younger person or that a younger person was retained in a similar position, or must show that he was replaced by someone outside the protected class.

2. Whether the Circuit Court fundamentally altered the requirements for proof of motive in holding that petitioner failed to make out a prima facie case of age discrimination based on direct and indirect evidence because (a) the decisionmaker's statement that petitioner was "too damn old for this kind of work" was not made in the context of replacing petitioner and (b) other statements of age animus by the decisionmakers were not made in the context of terminating petitioner.

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PETITION FOR WRIT OF CERTIORARI

Petitioner, James O'Connor, respectfully prays that a Writ of Certiorari issue to review the judgment of the United States Court of Appeals for the Fourth Circuit entered June 8, 1995.

OPINIONS BELOW

The District Court opinion, App. 24-35, is reported at 829 F. Supp. 155 (W.D.N.C. 1993). The Circuit Court opinion, App. 1-23, is reported at 56 F.3d 542 (4th Cir. 1995).

JURISDICTION

The Circuit Court rendered its first opinion in this case on April 21, 1995. This opinion was not published. Petitioner moved for rehearing and suggested rehearing in banc in apt time. On May 31, 1995, the Court denied the Petition for Rehearing and declined the Suggestion of Rehearing in Banc. App. 36-37. On June 8, 1995, a new opinion issued and was published. App. 1-23, 56 F.3d 542.¹ This is the judgment sought to be reviewed. The mandate issued the same day. App. 38. This Court has jurisdiction to review the judgment of the United States Court of Appeals for the Fourth Circuit by Writ of Certiorari pursuant to 28 U.S.C. 1254(1).

STATUTE INVOLVED

The Age Discrimination in Employment Act (ADEA), 29 U.S.C. 621 *et seq.*, provides in pertinent part:

§623. Prohibition of age discrimination.

(a) Employer Practices. It shall be unlawful for an employer:

(1) to . . . discharge any individual . . . because of such individual's age.

¹ This opinion differs from the earlier opinion only in that (1) it is published, (2) Judge Butzner amplified his dissenting opinion, and (3) Judge Luttig concurred in the Court's opinion rather than, as previously, concurring only in the judgment.

STATEMENT OF THE CASE

This action was filed in the United States District Court for the Western District of North Carolina, Charlotte Division, on August 27, 1991, seeking remedies under the ADEA. The District Court had subject matter jurisdiction pursuant to 29 U.S.C. 626(c). The District Court granted summary judgment for respondent on July 27, 1993. Petitioner moved for a new trial in apt time, which was denied. Petitioner then appealed to the United States Court of Appeals for the Fourth Circuit in apt time. That Court had subject matter jurisdiction pursuant to 28 U.S.C. 1291.

Statement of the Facts

Petitioner started working for respondent in 1978. Respondent is a supplier of vending machines and cafeteria services. In 1986 petitioner was purchased by, and thereafter operated as a division of, Canteen Corporation. Following this purchase Ed Williams assumed control of respondent's three sales territories in North Carolina: "4Cs North", "4Cs South", and Canteen's Greensboro/Raleigh, North Carolina area. Petitioner was manager of "4Cs North" until late 1989. That year his territory's profits were very good and he earned a bonus of \$37,000, which Ed Williams told him was the highest bonus made by anyone in the company that year. His performance rating for that year, by Ed Williams, was "commendable."

At the end of 1989 several management changes were made. Petitioner volunteered to become Manager of "4Cs South" because it had had perennial financial problems and he relished the challenge of turning it around. Mike

Kiser, petitioner's subordinate at 4Cs North, took over that territory on petitioner's departure. Six months later, in June 1990, half of 4Cs South, petitioner's then territory, was added to 4Cs North and assigned to Kiser, purportedly because petitioner was "slow" in responding to problem accounts. Contemporaneous with this reassignment Ed Williams began making age-related derogatory remarks to and around petitioner. While watching a golf tournament play-off on television in late June or early July in the office, Williams commented to petitioner that petitioner was "too old" to play 18 holes of golf five days in a row. In late July in petitioner's office Williams told petitioner that petitioner was "too damn old for this kind of work." Petitioner called this statement to the attention of the Manager of Employee Relations who was seated within earshot in the next office. She immediately told Williams "that he shouldn't say things like that." In response Williams left the office. Then, in early August, in petitioner's presence but in response to another employee's comment that he would soon be 50, Williams remarked: "It's about time we started to get some young blood in this company." Two days later, pursuant to another reorganization and reduction in force, Williams assumed control of Canteen's South Carolina territory which had been managed by Ted Finnell (Finnell), and the three North Carolina territories and the South Carolina territory were consolidated into two territories under Williams. Petitioner, age 56, was terminated. The manager of Canteen's Raleigh/Greensboro territory, Alan Hunter, age 57, was demoted to a sales position. Petitioner's territory was assigned to Finnell, age 40.

Hunter's territory was assigned to Kiser, age 35. Ed Williams had been Finnell's supervisor through December, 1989. For 1989 he had given Finnell a rating of "competent", considerably lower than the "commendable" he gave petitioner at the same time. Thereafter Williams did not supervise Finnell and there was no evidence that he had checked back to determine whether Finnell's performance had improved or deteriorated in the intervening eight month period. For several years previously petitioner had placed consistently higher within his salary class than had Finnell.

In support of his motion for new trial petitioner presented the affidavit of Philip Dennis. Dennis stated that the day after petitioner was fired he asked Ed Williams if there were any reason for firing petitioner and Williams replied that all of us were getting old, that Jim (petitioner) was getting old, and that there were three other persons around the office who were turning 50. After this meeting Williams and Dennis left Williams' office and another employee came up and asked Williams what had happened to petitioner. Williams replied that, like he had been telling Dennis, he guessed Jim was getting old and that three people around the office would be turning 50.

ARGUMENT

1. *Whether a plaintiff alleging discriminatory discharge under the Age Discrimination in Employment Act, 29 U.S.C. 621 et seq. (ADEA), may satisfy the fourth element of the McDonnell-Douglas prima facie case paradigm by showing*

that he was replaced by a younger person or that a younger person was retained in a similar position, or must show that he was replaced by someone outside the protected class.

Ten Circuit Courts have held that the replacement need not be within the protected age group, and in one other Circuit there are cases both ways.² The Circuit Court below lightly recognized, App. 10, n.1, that there was contrary authority to its ruling but failed to indicate the truly overwhelming weight of the contrary authority.

The requirement of an under-age-40 replacement offends the history and policy of the ADEA.³

The legislative history of the ADEA expressly states that there is no requirement that the beneficiary of the discrimination be under age 40. When the ADEA was introduced in the Senate Senator Javits stated:

² *Freeman v. Packaging Machine Co.*, 865 F.2d 1331, 1335 n.1 (1st Cir. 1988) (age of replacement not a factor); *Haskell v. Kemen Corp.*, 743 F.2d 113, 119 n.1 (2nd Cir. 1984); *Maxfield v. Sinclair International*, 766 F.2d 788, 792-93 (3rd Cir. 1985); *Lindsay v. Prive Corp.*, 987 F.2d 324, 326-327 (5th Cir. 1993); *Roper v. Peabody*, 47 F.3d 925, 927 (7th Cir. 1995); *Rinehart v. City of Independence*, 35 F.3d 1263, 1265-66 (8th Cir. 1994); *Douglas v. Anderson*, 656 F.2d 528, 532 (9th Cir. 1981); *Cooper v. Asplundh Tree Expert Co.*, 836 F.2d 1544, 1547 (10th Cir. 1988); *Carter v. City of Miami*, 870 F.2d 578, 582-83 (11th Cir. 1989); *D.C. Cuddy v. Carmen*, 694 F.2d 853, 857 (D.C. Cir. 1982); compare, e.g., *Raush v. KFC Nat'l Mgt. Co.*, 10 F.3d 392, 396 (6th Cir. 1993) (standard includes replacement by a younger person) with *LaPointe v. United Autoworkers Local 600*, 8 F.3d 376, 379 (6th Cir. 1993) (*prima facie* case requires replacement from outside protected class).

³ The text of the ADEA does not address the question presented here.

Section 4 of the Bill [29 U.S.C. 623] specifically prohibits discrimination against any "individual" because of his age. It does not say that the discrimination must be in favor of someone younger than age 40. In other words, if two individuals ages 52 and 42 apply for the same job and the employer selected the man age 42 . . . because he is younger than the man 52, then he will have violated the act . . .

113 Cong. Rec. 31,255 (1967). Senator Yarborough, the floor manager of the Bill, agreed. *Id.*

The under-age-40 requirement also makes no sense as a matter of policy. As the Third Circuit has stated, "[i]f no intra-age group protection were provided by the ADEA, it would be of virtually no use to persons at the upper ages of the protected class whose jobs require experience since even an employer with clear anti-age animus would rarely replace them with someone under 40." *Maxfield v. Sinclair Int'l*, 766 F.2d 788, 792 (3d Cir.), cert. denied, 474 U.S. 1057 (1986).

The under-age-40 requirement is also irrational. What is sought to be proved is age animus. It is illogical to allow it to be proved when a 40 year old is replaced by a 39 year old, but not when a 69 year old is replaced by a 40 year old. The situation here, replacement of a 56 year old by a 40 year old, is clearly suggestive of age animus.

2. Whether the Circuit Court fundamentally altered the requirements for proof of motive in holding that petitioner failed to make out a *prima facie* case of age discrimination based on direct and indirect evidence because (a) the decision-maker's statement that petitioner was "too damn old for this

kind of work" was not made in the context of replacing petitioner, and (b) other statements of age animus by the decision-makers were not made in the context of terminating petitioner.

(a) Petitioner may make out a prima facie case that age animus motivated his discharge by direct evidence, *Trans World Airlines, Inc. v. Thurston*, 469 U.S. 111, 121, 83 L.Ed. 2d 522, 533, 105 S. Ct. 613 (1985), or by indirect evidence, see, e.g., *Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230 (4th Cir. 1982). The ultimate inquiry is whether Petitioner was discharged "because of age." 29 U.S.C. 623(a). "In a disparate treatment case, liability depends on whether the protected trait (under the ADEA, age) actually motivated the employer's decision." *Hazen Paper Co. v. Biggins*, 507 U.S. ___, 123 L.Ed. 2d 338, 346, 113 S.Ct. 1701 (1993).

Summary judgment is generally disfavored when motive is an issue. See, *Poller v. CBS*, 368 U.S. 464, 473, 7 L.Ed. 2d 458, 464, 82 S.Ct. 486 (1962). A wide variety of types of evidence may be used to prove discrimination, including past treatment. See, *Patterson v. McLean Credit Union*, 491 U.S. 164, 187-88, 105 L.Ed. 2d 132, 109 S.Ct. 2363 (1989). Two weeks before petitioner's discharge, Ed Williams told him he was "too damm old for this kind of work." The Circuit Court held this direct evidence of motive to be insufficient only by adding a new and unauthorized proof requirement, that petitioner also show that the employer was considering replacing him. This requirement is fundamentally inconsistent with proof of action "because of age" because an age-motivated discharge can occur in the absence of any replacing of the discharged person.

(b) The other two age-based comments directed to petitioner by the decisionmaker were held insufficient to

prove age-based motivation because they had no sufficient "nexus" linking them to petitioner's termination, even though the golfing remark, App. 18-19, was made by the decisionmaker contemporaneously with action reducing petitioner's territory without justification, and the "young blood" remark, App. 17, was made only two days before petitioner's discharge.⁴ This "nexus" requirement has been criticized within the Fourth Circuit and is in conflict with rulings in the Fourth and other Circuits. In *Tuck v. Hinkel Corp.*, 973 F.2d 371 (4th Cir. 1992), cert. denied, 490 U.S. 1098 (1993), the Court found that an appropriate "nexus" existed when a former supervisor stated to plaintiff that "he wanted to get rid of the older people and replace them with 'young blood' ", and that "what [the company] needed was 'younger people' ". *Id.*, at 377 (emphasis in original). The Fourth Circuit then remarked, concerning the prior case of *EEOC v. Clay Printing Co.*, 955 F.2d 936 (4th Cir. 1992), the case that originated the "nexus" requirement:

"We do not read Clay Printing's holding to prevent statements that a company wants to replace its older employees with younger ones from being considered evidence of age discrimination, for it was to keep older workers from suffering adverse employment actions based on the assumption that younger workers are more desirable by virtue of their age that Congress enacted the ADEA.

⁴ The Circuit Court found, without any factual or record basis, that the "young blood" remark, App. 17, was "apparently humorous", *id.*, and that the "too old" remark, App. 18-19, was "inane," *id.*

Tuck v. Hinkel Corp., 973 F.2d at 277 n.5. See also, *Smith v. Great Am. Rest., Inc.*, 969 F.2d 430, 434 (7th Cir. 1992) (remark that plaintiff was fired because she was "too old to cut it" in new 24-hour operations was direct evidence); *Alphin v. Sears, Roebuck & Co.*, 904 F.2d 1497, 1500-01 (11th Cir. 1991) (remark that "both [plaintiff and supervisor] had been around too long and were too old and were making too much money" was probative).⁵

Petitioner respectfully requests that this Court issue its Writ of Certiorari to review the challenged decision of the United States Court of Appeals for the Fourth Circuit.

Respectfully submitted, August 29, 1995.

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⁵ This argument is intended to include as "subsidiary questions" within the meaning of Supreme Court Rule 14.1 these questions:

1. Whether the Circuit Court erroneously segmented petitioner's evidence into discretely considered segments and thereby failed to consider it in its totality;
2. Whether the Circuit Court erred in affirming the District Court's refusal to grant a new trial, App. 39; and
3. Whether the Circuit Court erred in crediting as fact respondent's theory that petitioner was not even a contender for continued employment, App. 12.

PUBLISHED
 UNITED STATES COURT OF APPEALS
 FOR THE FOURTH CIRCUIT

JAMES O'CONNOR,

Plaintiff-Appellant,

v.

CONSOLIDATED COIN CATERERS
 CORPORATION,

Defendant-Appellee.

EQUAL EMPLOYMENT OPPORTUNITY
 COMMISSION,

Amicus Curiae.

No. 94-1214

Appeal from the United States District Court
 for the Western District of North Carolina, at Charlotte.
 Robert D. Potter, Senior District Judge.
 (CA-91-277-C-C-P)

Argued: January 31, 1995

Decided: April 21, 1995

Amended opinion filed: June 8, 1995

Before HAMILTON and LUTTIG, Circuit Judges, and
 BUTZNER, Senior Circuit Judge.

Affirmed by published opinion. Judge Hamilton wrote the opinion, in which Judge Luttig joined. Senior Judge Butzner wrote a separate opinion, concurring in part and dissenting in part.

ARGUED: George Daly, GEORGE DALY, P.A., Charlotte, North Carolina, for Appellant. Barbara L. Sloan, EQUAL EMPLOYMENT OPPORTUNITY COMMISSION, Washington, D.C., for Amicus Curiae. James Bernard Spears, Jr., HAYNSWORTH, BALDWIN, JOHNSON & GREAVES, P.A., Charlotte, North Carolina, for Appellee. **ON BRIEF:** Sharon Samek, GEORGE DALY, P.A., Charlotte, North Carolina, for Appellant. James R. Neely, Jr., Deputy General Counsel, Gwendolyn Young Reams, Associate General Counsel, Lorraine C. Davis, Assistant General Counsel, EQUAL EMPLOYMENT OPPORTUNITY COMMISSION, Washington, D.C., for Amicus Curiae. Jacob J. Modla, HAYNSWORTH, BALDWIN, JOHNSON & GREAVES, P.A., Charlotte, North Carolina, for Appellee.

OPINION

HAMILTON, Circuit Judge:

James O'Connor (O'Connor) brought a claim against Consolidated Coin Caterers Corporation (Consolidated) pursuant to the Age Discrimination in Employment Act (ADEA), 29 U.S.C.A. §§ 621-634 (West 1985 & Supp. 1994), contending that Consolidated terminated him because of his age. The district court granted summary judgment in favor of Consolidated, holding that O'Connor could not succeed on his claim of age discrimination. We affirm.

I.

Consolidated operates cafeterias and vending machines primarily for use in industrial plants, businesses, schools and health care facilities. Although separately incorporated, Consolidated operates as a division

of its parent company, Canteen Corporation (Canteen). In 1986, O'Connor was the general manager of Consolidated's northern region known as 4Cs North, which was centered in Raleigh, North Carolina, and served northern North Carolina and southern Virginia; Edward Williams (Williams) was O'Connor's direct supervisor, and Williams reported to Ted Arts (Arts), President of Canteen's Central Division.

In 1989, Canteen restructured its operations so as to have three geographic territories instead of four. As a result of this reorganization, O'Connor became the general manager of 4Cs South, which was based in Charlotte, North Carolina, and served southern and western North Carolina, as well as northern South Carolina, and Mike Kiser (Kiser) of Consolidated took over O'Connor's job as general manager of 4Cs North. Allen Hunter (Hunter) and Ted Finnell (Finnell), employees of Canteen, remained respectively the managers of Canteen's Greensboro/Raleigh and Greenville/Spartanburg operations.

On July 10, 1990, Williams reassigned three geographic territories from O'Connor to Kiser, resulting in the following management scheme:

Kiser	Hunter	O'Connor
4Cs North	Canteen	4Cs South
<u>Manager</u>	<u>Manager</u>	<u>Manager</u>
Burlington	Raleigh	Charlotte
Smithfield	Greensboro	Laurinburg
Tarboro		Shelby
Hickory		
Asheville		
Albemarle		
South Boston		

According to Consolidated, Williams reassigned the territories from O'Connor to Kiser because O'Connor was slow in responding to problem accounts. When this decision was made, Williams did not know that Arts was planning another reorganization to consolidate Canteen and Consolidated's operations.

Sometime subsequent to July 10, 1990, Arts contacted Williams, informing him that he wanted to reorganize Canteen and Consolidated's operations in North and South Carolina to reduce operating costs under the following terms: combine Consolidated with Canteen's North and South Carolina's operations into a single, larger geographic territory, have this new territory managed by Williams, and have Williams combine the management responsibilities of Finnell, Kiser, Hunter, and O'Connor. Subsequently, Williams decided to divide this new territory into two newly-organized districts: the Northern District serving northern North Carolina and southern Virginia, and the Southern District serving southern North Carolina and all of South Carolina. These two new districts were substantially larger in geographic territory than under the previous organizations. In August of 1990, this new "Carolinas Region" was organized as follows:

CAROLINAS REGION

<u>Finnell</u>	<u>Kiser</u>
<u>Southern District</u>	<u>Northern District</u>
Charlotte	Burlington
Shelby	Smithfield
Laurinburg	Tarboro
Greenville	Raleigh
Spartanburg	Greensboro
Columbia	South Boston
Hickory	
Asheville	
Albemarle	

As a consequence of this reorganization, on August 10, 1990, O'Connor, age fifty-six, was discharged, and Hunter, age fifty-seven, was demoted.

Having created two new, large districts, Williams chose Finnell, age forty, to manage the Southern District, and Kiser, age thirty-five, to manage the Northern District. According to Consolidated, crucial to selecting the managers for the new districts was the fact that there were substantially greater management responsibilities than had been required under the previous organizations and the new districts were substantially larger in geographic area. Williams asserted he selected Finnell and Kiser because he was Finnell's former direct superior, had firsthand knowledge of both men's work and abilities, and considered them competent to handle the greater responsibilities and larger geographic territory.

According to Consolidated, it did not select O'Connor to manage one of the two new districts because they served a greater number of customers, entailed more

accounts, covered a substantially larger geographic territory, and O'Connor was slow in responding to problem accounts. Consolidated asserted that a critical factor in not selecting O'Connor was the fact that even before the second reorganization, Williams had reduced the size of O'Connor's territory from six territories to three. Given that O'Connor was slow with his already-reduced territory, Consolidated concluded that he could not handle an even larger region. Also, Consolidated asserted that O'Connor had not timely responded to a problem involving food delivery in unrefrigerated trucks.

Discrediting Consolidated's reasons for terminating him, O'Connor asserted that he was discharged because of his age; consequently, he brought suit under the ADEA. The district court granted summary judgment in favor of Consolidated. Although observing that this case was not the typical reduction-in-force case characterized by mass layoffs, because here the reduction consisted of only O'Connor and Hunter and O'Connor was essentially replaced by Finnell, the district court nevertheless applied the modified *McDonnell Douglas* four-prong test used in reduction-in-force suits and concluded that O'Connor failed to establish a *prima facie* case because O'Connor failed to present any evidence that Consolidated did not treat age neutrally in deciding to terminate him. Next, the district court held that O'Connor failed to establish his case by the ordinary burden of establishing by direct and/or circumstantial evidence that he was terminated because of his age.

Subsequently, O'Connor moved for a new trial, ostensibly on the basis of newly-discovered evidence. See Fed.R.Civ.P. 59(a). O'Connor's proffered evidence was an

affidavit of a former coworker, Phillip Dennis (Dennis). Because there had been no trial, but a grant of summary judgment, the district court construed O'Connor's motion as one for relief from judgment based on newly-discovered evidence and denied it. See Fed.R.Civ.P.60(b)(2). This appeal followed.

II.

Rule 56(c) requires that the district court enter judgment against a party who, "after adequate time for . . . discovery fails to make a showing sufficient to establish the existence of an element essential to that party's case, and on which that party will bear the burden of proof at trial." *Celotex Corp. v. Catrett*, 477 U.S. 317, 322 (1986). To prevail on a motion for summary judgment, Consolidated must demonstrate that: (1) there is no genuine issue as to any material fact; and (2) it is entitled to judgment as a matter of law. See *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). In determining whether a genuine issue of material fact has been raised, we must construe all inferences in favor of O'Connor. See *id.* 257-58. If, however, "the evidence is so one-sided that one party must prevail as a matter of law," we must affirm the grant of summary judgment in that party's favor. *Id.* at 251-52. O'Connor "cannot create a genuine issue of fact through mere speculation or the building of one inference upon another." See *Beale v. Hardy*, 769 F.2d 213, 214 (4th Cir. 1985). To survive Consolidated's motion, O'Connor may not rest on his pleadings, but must demonstrate that specific, material facts exist that give rise to a genuine issue. See *Celotex Corp.*, 477 U.S. at 324. As the *Anderson* Court explained, the "mere existence of a scintilla of

evidence in support of the plaintiff's position will be insufficient; there must be evidence on which the jury could reasonably find for the plaintiff." *Anderson*, 477 U.S. at 244. Our review of a grant of summary judgment is plenary. *See Cooke v. Manufactured Homes, Inc.*, 998 F.2d 1256, 1260 (4th Cir. 1993).

Contending that his employment was terminated because of his age, O'Connor brought this suit against Consolidated pursuant to the ADEA. In order to establish his claim, O'Connor may rely on the normal methods of succeeding on a civil suit by establishing by a preponderance of the evidence that but for Consolidated's motive to discriminate against him because of his age, he would not have been discharged. *See Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230, 239 (4th Cir. 1982). O'Connor "may meet this burden under the ordinary standards of proof by direct or indirect evidence relevant to and sufficiently probative of the issue." *EEOC v. Clay Printing Co.*, 955 F.2d 936, 940 (4th Cir. 1992). Alternatively, O'Connor may resort to the proof scheme articulated for Title VII cases in *McDonnell Douglas Corp. v. Green*, 411 U.S. 792 (1973), which we have applied to ADEA claims, *see Mitchell v. Data General Corp.*, 12 F.3d 1310, 1314-15 (4th Cir. 1993); *EEOC v. Western Elec. Co.*, 713 F.2d 1011, 1014 (4th Cir. 1983). To establish a *prima facie* case on an ADEA claim under the *McDonnell Douglas* rubric, O'Connor must prove the following elements:

- (1) [he] is in the protected age group; (2) [he] was discharged or demoted; (3) at the time of discharge or demotion, [he] was performing his job at a level that met his employer's legitimate expectations; and (4) following his discharge or

demotion, [he] was replaced by someone of comparable qualifications outside the protected class.

Id.

A.

Although the parties and the district court characterized the present appeal as a reduction-in-force case, the reduced "force" consisted of only two people, O'Connor and Hunter, and while O'Connor's position was eliminated, he was essentially replaced by Finnell. Thus, the complexities and difficulties of determining what employee was replaced by whom in the typical mass layoff case is simply not an issue here. *See Clay Printing Co.*, 955 F.2d at 937 (twenty-three employees laid off); *Western Elec. Co.*, 713 F.2d at 1013 (reduction-in-force test applied to work force of 225 employees). Also, unlike the typical reduction-in-force case, O'Connor can point to his replacement. *See Duke v. Uniroyal, Inc.*, 928 F.2d 1413, 1418 (4th Cir.) (explaining that in reduction-in-force suits determining the employee that replaced the plaintiff may prove difficult, often because jobs have been eliminated or combined), *cert. denied*, 502 U.S. 963 (1991). We are not persuaded, therefore, that this case is properly characterized as a reduction-in-force suit. Thus, application of the reduction-in-force paradigm is inapt here. Applying the *McDonnell Douglas* paradigm, we conclude that O'Connor cannot establish a *prima facie* case because he fails to satisfy the fourth element, *i.e.*, he was not replaced

by someone outside the protected class.¹ Here, Finnell was forty years old, and thus he was within the protected class. See 29 U.S.C.A. § 631(a) (West Supp.1994). Having failed to satisfy an element of his claim, O'Connor cannot prevail. The district court, therefore, properly entered summary judgment in favor of Consolidated.

B.

We conclude that even applying the reduction-in-force test to this suit, O'Connor cannot prevail on his claim. In the typical reduction-in-force case, we apply a

¹ While some circuits hold that an ADEA plaintiff can satisfy the fourth element of *McDonnell Douglas* by showing that he was replaced by someone younger or that younger coworkers were retained in the same or similar positions, even if, as here, the replacements were in the protected age group, see, e.g., *Roper v. Peabody Coal Co.*, No. 94-2694, at * 1 (7th Cir. Feb. 17, 1995); *Douglas v. Anderson*, 656 F.2d 528, 532 (9th Cir. 1981), Fourth Circuit precedent has required a plaintiff to demonstrate that his replacement was outside the protected class to satisfy that element, see, e.g., *Clay Printing Co.*, 955 F.2d at 943 (explaining that because the replacements in a reduction-in-force suit were within the protected class, the plaintiffs had to demonstrate that the employer did not treat age neutrally in making its employment decisions); *Western Elec. Co.*, 713 F.2d at 1014 (holding that "in the usual ADEA case," a plaintiff must prove that he "was replaced by someone of comparable qualifications outside the protected class"); cf. *Lovelace*, 861 F.2d at 238-39 & n. 5 & 242-43 n. 13 (noting in dicta that it did not rely on the fact that the plaintiff was replaced by someone in the protected class in reaching its decision and noting further that "[w]hether the absolute and relative ages of [plaintiff] and replacement may be factually relevant to the discrimination issue [was] . . . a different matter").

modified version of the *McDonnell Douglas prima facie* standard:

- (1) the employee was protected by the ADEA;
- (2) he was selected for discharge from a larger group of candidates;
- (3) he was performing at a level substantially equivalent to the lowest level of those of the group retained; and
- (4) the process of selection produced a residual work force of persons in the groups containing some unprotected persons who were performing at a level lower than that at which he was performing.

Mitchell, 12 F.3d at 1315. This fourth element is usually characterized by stating that a plaintiff must produce "some other evidence that the employer did not treat age neutrally." *Western Elec. Co.*, 713 F.2d at 1015. We have made this modification in such cases because the plaintiff's position may have been eliminated or it may be difficult for the plaintiff to show precisely who replaced him. See *id.* at 1014. While we have noted that "the fourth element [of the *McDonnell Douglas* scheme] will not fit well in most reduction-in-force cases," we have concluded that an ADEA plaintiff "should not be permitted to establish a 'prima facie case' by satisfying only the first three elements." *Id.*

Indisputably, O'Connor satisfies elements one and two, i.e., he is in the protected class and was discharged. The third element requires that O'Connor perform at a level substantially equivalent to the lowest level of those of the group retained. Essentially, this element demands that O'Connor perform his job satisfactorily, thereby

meeting Consolidated's legitimate expectations. According to Consolidated, O'Connor cannot satisfy this element because even prior to the reorganization that gave rise to the two new district manager positions, O'Connor was slow in dealing with problem accounts, his territorial responsibilities had already been greatly reduced, and he experienced a problem with food delivery in an unrefrigerated truck. Thus, Consolidated posits, O'Connor fails the third prong.

Conversely, O'Connor contends that his performance was satisfactory and that his evidence tended to establish that Consolidated did not treat age neutrally in discharging him. To support these contentions, he relies on: (1) a good performance review dated January 1990 that reviewed the latter part of 1989 along with a large bonus he received in 1989 for good work and comparative salary data; (2) Finnell and Kiser, the younger men, one of whom was outside the protected class, were retained while he and Hunter, the older men, were respectively discharged and demoted; and (3) testimony of Williams that O'Connor had made progress with individual accounts and 4Cs South made some improvement, despite the fact that 4Cs South generally had a lower profit margin than 4Cs North.

This evidence, however, does not tend to establish that O'Connor was a satisfactory employee because Williams did not consider these facts in his decision to discharge O'Connor; rather, Consolidated had already substantially reduced O'Connor's geographic territory, and given this fact, he was not a contender for one of the new positions. The 1990 review of 1989, 1989 bonus, salary data, and some improvement in 4Cs South are

irrelevant because O'Connor was not performing well in August of 1990, the time of termination. See *Anderson v. Stauffer Chem. Co.*, 965 F.2d 397, 401 (7th Cir. 1992) (stating that a 1984 evaluation, even if given in December of 1984, and a pay raise given at the start of 1985 was not relative to a discharge on May 1, 1985). Moreover, at the time Consolidated decided to terminate O'Connor, Williams did not know of Art's decision to consolidate Canteen's and Consolidated's organizations. With respect to the evidence that O'Connor was improving, even if O'Connor were making some progress with respect to some accounts, that does not negate the fact that he did not react timely to other problem accounts or that 4Cs South's performance was still not up to par. Because under Art's reorganization the geographic territories were even larger, and O'Connor's territory was already reduced, O'Connor's evidence tending to establish that he was working up to expectations does not create a genuine issue of material fact.

The fourth prong of the reduction-in-force test requires that O'Connor show "that persons outside the protected class were retained in the same position or that there was some other evidence indicating that the employer did not treat age neutrally in deciding to dismiss the plaintiff." *Herold v. Hajoca Corp.*, 864 F.2d 317, 320 (4th Cir.), cert. denied, 490 U.S. 1107 (1988). We conclude that O'Connor failed to demonstrate Consolidated did not treat age neutrally in discharging him.² Focusing on retaining Finnell and Kiser, O'Connor is not comparable to Kiser or Finnell since his territory was reduced

² See n. 1.

prior to his termination due to his slow response to problem accounts. Because O'Connor is not comparable to these men, comparing performance reviews and salaries is inapt. See *Cone v. Longmont United Hosp. Ass'n*, 14 F.3d 526, 533 (10th Cir. 1994) (opining that in an age discrimination case, the plaintiff must be comparable to her replacement). In deciding to keep Finnell and Kiser and discharge O'Connor, Williams' decision was based on Finnell and Kiser's ability to handle an enlarged geographic territory; three territories were reassigned to Kiser because O'Connor was slow in responding to problem accounts; the fact that these men could handle the larger territories was critical to the decision to discharge O'Connor. Also, there is nothing in the record disclosing Hunter's ability or performance during the relevant time. Therefore, no comparison can be made between Hunter and Finnell or Kiser. In fact, a month before O'Connor was discharged, Williams considered Kiser's ability to manage a larger geographic territory superior to that of O'Connor. The decision to discharge O'Connor, therefore, was not grounded in invidious discrimination, but rather on the age-neutral reason that O'Connor's performance did not recommend him for the job, while Finnell and Kiser's did. O'Connor's evidence does not create a genuine issue of material fact that Consolidated did not treat age neutrally in making its employment decisions. Additionally, the case law reveals examining a small pool of employees is not probative of discrimination. See *Birkbeck v. Marvel Lighting Corp.*, 30 F.3d 507, 511 (4th Cir.) (comparing four individuals is too small a sample to be probative of discrimination in a ADEA suit), *cert. denied*, 115 S.Ct. 666 (1994); *Simpson v. Midland-Ross Corp.*, 823 F.2d

937, 943 & n. 7 (6th Cir. 1987) (stating that sample of seventeen in an age discrimination case was suspect) (collecting cases); see also *Iturbe v. Wandel & Golterman Technologies, Inc.*, 23 F.3d 401 (4th Cir. 1994) (unpublished) (*per curiam*) (stating that a "court cannot properly draw an inference of discrimination from a pool of only three employees"). Under these precedents, no inference of discrimination may be drawn in this suit. We find that O'Connor failed to satisfy the fourth prong.

III.

As stated, an ADEA plaintiff can establish his claim under the proof scheme articulated in *McDonnell Douglas* or under the ordinary standards of proof used in civil cases. Here, O'Connor appeared to proceed under both proof schemes. Having concluded that O'Connor cannot prevail under the *McDonnell Douglas* paradigm, we analyze his claim under the standards of proof by direct and circumstantial evidence used in civil cases.

To succeed on his ADEA claim under the direct standard of proof scheme, O'Connor must establish the following elements: "(1) that he . . . was an employee covered by the [ADEA], (2) who suffered an unfavorable action by an employer covered by the [ADEA], and (3) that age was a determining factor in the action in the sense that but for [Consolidated's] intent to discriminate on the basis of age, [O'Connor] would not have been subjected to the employment action." *Clay Printing Co.*, 955 F.2d at 941 (internal quotation marks omitted). To defeat a motion for summary judgment under this scheme, O'Connor must " 'produce direct evidence of a

stated purpose to discriminate [on the basis of age] and/or circumstantial evidence of a stated purpose to discriminate [on the basis of age] of sufficient probative force to reflect a genuine issue of material fact.' " *Id.* (quoting *Goldberg v. B. Green & Co.*, 836 F.2d 845, 848 (4th Cir. 1988)) (alteration in original). "Direct evidence of discrimination is evidence which, if believed, would prove the existence of a fact . . . without any inference or presumptions." *Bodenheimer v. PPG Indus., Inc.*, 5 F.3d 955, 958 (5th Cir. 1993). The same summary judgment standard applies under this proof scheme.

A.

The direct evidence on which O'Connor relies to establish his case are three statements about age-related matters made by Williams. While derogatory remarks may be direct evidence of age discrimination, *see Wilhelm v. Blue Bell, Inc.*, 773 F.2d 1429, 1433 (4th Cir. 1985), *cert. denied*, 475 U.S. 1016 (1986), the decisional law "clearly reflects that isolated and ambiguous statements . . . 'are too abstract, in addition to being irrelevant and prejudicial, to support a finding of age discrimination,' " *Gagne v. Northwestern Nat'l Ins. Co.*, 881 F.2d 309, 314 (6th Cir. 1989) (quoting *Chappell v. GTE Prods. Corp.*, 803 F.2d 261, 268 n. 2 (6th Cir.), *cert. denied*, 480 U.S. 919 (1987)). Discriminatory remarks concerning age, therefore, cannot be stray or isolated statements. According to the Seventh Circuit, "[u]nless the remarks upon which plaintiff relies were related to the employment decision in question, they cannot be evidence of a discriminatory discharge." *McCarthy v. Kempler Life Ins. Co.*, 924 F.2d 683, 686-87 (7th Cir. 1991). As this court has opined, there must be some

"nexus . . . between the alleged discriminatory statements and *any* of the employment decisions made by the [employer]." *Clay Printing Co.*, 955 F.2d at 942; *see also Figures v. Board of Pub. Utils.*, 967 F.2d 357, 360-61 (10th Cir. 1992) (noting that racial comments are not probative of discrimination unless they are linked to the challenged action); *Merrick v. Farmers Ins. Group*, 892 F.2d 1434, 1438-39 (9th Cir. 1990) (holding that certain statements unconnected to the employment decision-making process are simply stray remarks that do not demonstrate discriminatory intent). With these principles in mind, we consider the challenged statements.

1.

The first statement was made two days before O'Connor's discharge. Williams remarked that "[i]t's about time we get some young blood in this company." (J.A. 122). This comment was made in response to a comment by Don Dillingham, another Consolidated employee, that his fiftieth birthday was fast approaching. This apparently humorous comment is not probative of age discrimination. First, as the *Birkbeck* court explained, comments such as this are innocuous and create no inference of age bias. The *Birkbeck* court ruled that the statement "'there comes a time when we have to make way for younger people,' " simply lacks discriminatory intent and is more accurately understood as a commentary on the fact that all people age. *Birkbeck*, 30 F.3d at 511-12; *see also Clay Printing Co.*, 955 F.2d at 942 (holding that an employer's comment that the employer needed to "'attract newer, younger people' " and needed " 'young

blood' " failed to establish direct evidence of age discrimination); *Gagne*, 881 F.2d at 314 (holding that the employer's comment that he " 'needed younger blood' " did not raise a material fact with respect to establishing age discrimination). Second, there is no nexus linking this statement to O'Connor's termination as required by *Clay Printing Co.* See *Cone*, 14 F.3d at 531 (ruling that "[i]solated comments, unrelated to the challenged action, are insufficient to show discriminatory animus in termination decisions"). Additionally, this comment does not evince an intent to discharge an older employee, but merely to attract some young ones. See *Clay Printing Co.*, 955 F.2d 942.

2.

The second statement, made two weeks prior to O'Connor's discharge, consisted of the following: " 'O'Connor, you are too damn old for this kind of work.' " (J.A. 125). O'Connor testified, however, that he did not remember what he and Williams were discussing when this comment was made or whether this comment was in relation to a business matter. (J.A. 124-25). Thus, there is no evidence that this statement was made in the context of replacing O'Connor. Without this requisite nexus, this statement evinces no discriminatory intent. See *id.*

3.

The third statement, uttered in either June or July of 1990, was made in connection with O'Connor's ability to play golf. That statement was made under the following circumstances: O'Connor, Williams, and Steve Carpmann,

another Consolidated employee, were watching a golf match on television. O'Connor stated that he "couldn't walk that many rounds of golf for five days to play 18 holes for five days." (J.A. 127). Williams responded to this comment by stating that O'Connor was just "too old." Again this inane statement was in reply to O'Connor's jocular declaration that he was too old to play eighteen holes of golf. Here again, there is nothing linking this remark with O'Connor's discharge. We agree with the district court that these remarks are simply stray comments that do not establish evidence of age discrimination.

B.

We explained the infirmities with respect to O'Connor's indirect evidence in section IIB. The same reasoning obtains here. The district court dismissed this evidence as insufficiently probative to establish O'Connor's claim, and we agree with this conclusion.

IV.

O'Connor raises two other issues, but they merit scant attention. First, he asserts that the district court erred in refusing him certain discovery requests. Reversal of discovery rulings is proper "only on a clear showing of abuse, and 'it is unusual to find abuse of discretion in these matters.' " *United Presbyterian Church in the United States v. Reagan*, 738 F.2d 1375, 1382 (D.C.1984) (quoting *Swanner v. United States*, 406 F.2d 716, 719 (5th Cir. 1969)). We have carefully examined the discovery issues and conclude that the district court did not err

with respect to these rulings. Second, O'Connor contends that the district court erred in denying his Rule 59 motion, which the district court construed as a Rule 60(b)(2) motion, based on Dennis' affidavit. We have examined this affidavit, and we agree with the district court that this evidence fails to satisfy the criteria for granting relief under either Rule 59 or Rule 60. See *Boryan v. United States*, 884 F.2d 767, 771 (4th Cir. 1989).

V.

We conclude that regardless of how O'Connor's claim of age discrimination is viewed, he failed to raise a genuine issue of material fact precluding summary judgment. We therefore affirm the district court's grant of summary judgment in favor of Consolidated. We have examined carefully O'Connor's discovery request and his Rule 59 motion and conclude that they are without merit; thus, we affirm those rulings as well. The judgment of the district court is, in all respects, affirmed.

AFFIRMED.

BUTZNER, Senior Circuit Judge, concurring in part and dissenting in part:

I

I reluctantly concur in the court's conclusion that O'Connor cannot make out a *prima facie* case of discrimination under the framework set out in *McDonnell Douglas Corp. v. Green*, 411 U.S. 792 (1973), because he was not replaced by someone outside the protected class.

This circuit's version of the *McDonnell Douglas* formula requires an ADEA plaintiff to demonstrate that he was replaced by someone outside the protected age group. See, e.g., *EEOC v. Clay Printing Co.*, 955 F.2d 936, 943 (4th Cir. 1992); *EEOC v. Western Elec. Co.*, 713 F.2d 1011, 1015 (4th Cir. 1983). These cases compel my concurrence.

Such an absolute requirement, however, has no justification in law or policy. The Age Discrimination in Employment Act, 29 U.S.C. § 621 et seq., states that its objective is "to prohibit arbitrary age discrimination." 29 U.S.C. § 621(b). The Act contains no language permitting employers to favor a younger employee over an older one on the basis of age simply because the younger employee is within the protected age group.

As a method of proof, the *McDonnell Douglas* paradigm was "not intended to be rigid, mechanistic or ritualistic." *Furnco Constr. Co. v. Waters*, 438 U.S. 567, 577 (1978). The age of a replacement employee should be a relevant, but not dispositive, factor for a court to consider when deciding whether the plaintiff has established a *prima facie* case under the *McDonnell Douglas* framework.

Most other circuits take this approach and observe that a plaintiff need only show he was replaced by someone younger, whether outside or within the protected age group. See *Freeman v. Package Machinery Co.*, 865 F.2d 1331, 1335 n. 2 (1st Cir. 1988); *Haskell v. Kaman Corp.*, 743 F.2d 113, 122 (2d Cir. 1984); *Maxfield v. Sinclair Int'l*, 766 F.2d 788, 792-93 (3d Cir. 1985); *Bienkowski v. American Airlines*, 851 F.2d 1503, 1506 (5th Cir. 1988); *Kralman v. Illinois Dep't of Veterans' Affairs*, 23 F.3d 150, 153-56 (7th Cir. 1994);

Rinehart v. City of Independence, 35 F.3d 1263, 1265-66 (8th Cir. 1994); *Douglas v. Anderson*, 656 F.2d 528, 531-33 (9th Cir. 1981); *Cooper v. Asplundh Tree Expert Co.*, 836 F.2d 1544, 1547 (10th Cir. 1988); *Carter v. City of Miami*, 870 F.2d 578, 582-83 (11th Cir. 1989); *Cuddy v. Carmen*, 694 F.2d 853, 857 (D.C.Cir. 1982); see also *Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230, 237 n. 5 (4th Cir. 1982) (dictum). But see *LaPointe v. United Autoworkers Local 600*, 8 F.3d 376, 379 (6th Cir. 1993) (requiring plaintiff to show that replacement was outside protected age group).

II

I respectfully dissent from the court's conclusion that, under ordinary standards of proof, O'Connor failed to raise an inference of discrimination. An ADEA plaintiff may prevail on a discrimination claim by demonstrating, through direct or circumstantial evidence, that but for an employer's motive to discriminate on the basis of age the plaintiff would not have been discharged. *Clay Printing*, 955 F.2d at 940; *Lovelace*, 681 F.2d at 239.

O'Connor has presented sufficient evidence of discriminatory motive to survive summary judgment. He testified in his deposition that Ed Williams, his supervisor, told him two weeks before his discharge, "O'Connor, you're too damn old for this kind of work." Williams denied making this statement.

Additionally, in his postjudgment motion, O'Connor provided the court with the affidavit of Phillip Dennis, who was a coworker of O'Connor. In his affidavit Dennis states that Williams told him Ted Arts, Williams's boss, had ordered Williams to fire O'Connor. When Dennis

asked why O'Connor was fired, Williams responded "that all of us were getting old, that Jim [O'Connor] was getting old." Because this affidavit was not reasonably available earlier, I believe the district court should not have rejected it.

These statements create a genuine issue of material fact that should be decided at trial. See *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). A jury could reasonably infer from Williams's statement or from the information contained in the Dennis affidavit that age was the determining factor in O'Connor's discharge. Because a trier of fact should determine O'Connor's claim, I would vacate the judgment of the district court and remand for a full evidentiary hearing.

IN THE UNITED STATES DISTRICT COURT
FOR THE WESTERN DISTRICT OF NORTH CAROLINA
CHARLOTTE DIVISION

C-C-91-227-P

JAMES O'CONNOR,	)	
Plaintiff,	)	
	)	
v.	)	MEMORANDUM OF
	)	<u>DECISION AND</u>
CONSOLIDATED COIN	)	<u>ORDER</u>
CATERERS CORPORATION,	)	
	)	(Filed
Defendant.	)	July 27, 1993)
	)	

THIS MATTER is before the Court on motion, filed June 16, 1993, of Consolidated Coin Caterers Corporation ("Consolidated") for summary judgment. Plaintiff James O'Connor filed a response and an affidavit on July 6, 1993, and July 9, 1993. Consolidated followed with a reply on June 19, 1993.

O'Connor's complaint alleges a violation of the Age Discrimination in Employment Act, 29 U.S.C. § 621 *et seq.* Specifically, O'Connor alleges that although Consolidated told him that his position was eliminated as part of a reduction in force, Consolidated actually filled his position with a younger man. Now, after the conclusion of discovery, Consolidated has moved for summary judgment.

Summary Judgment Standard

Summary judgment is appropriate when the pleadings, responses to discovery, and the record reveal that no

genuine issue of any material fact exists and that the moving party is entitled to judgment as a matter of law. *See* Fed. R. Civ. P. 56(c). The party moving for summary judgment has the initial burden of showing that no genuine issue of any material fact exists and that the moving party is entitled to judgment as a matter of law. *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). After the moving party has met its burden, the non-moving party must come forward with specific facts showing that evidence exists to support its claims and that a genuine issue for trial exists. *Id.*; *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986); *see* Fed. R. Civ. P. 56(e) (in response to motion for summary judgment, "adverse party may not rest upon the mere allegations or denials of the adverse party's pleading, but the adverse party's response, by affidavits or as otherwise provided in this rule, must set forth specific facts showing that there is a genuine issue for trial"). When considering motions for summary judgment, courts must view facts and inferences in the light most favorable to the party opposing the motion for summary judgment. *Matsushita*, 475 U.S. at 587-88; *United States v. Diebold, Inc.*, 369 U.S. 654, 655 (1962). When, however, the evidence from the entire record could not lead a rational fact-finder to find for the non-moving party, no genuine issue for trial exists and summary judgment is appropriate. *Matsushita*, 475 U.S. at 587.

Factual Background

O'Connor began his employment with Consolidated in 1978. Consolidated principally operates cafeterias and

vending machines in industrial plants. O'Connor managed a territory for Consolidated while he was in its employ. In December of 1989, O'Connor became the district manager for the region known in the company as "4Cs South." Four Cs South, centered in Charlotte, encompassed much of southern and western North Carolina until July of 1990 when Ed Williams, O'Connor's immediate supervisor, reallocated some of O'Connor's territory to another manager. On August 9, 1990, Consolidated terminated O'Connor and demoted one other manager as part of a reorganization or reduction-in-force.

Prior to O'Connor's termination, Consolidated and its parent company, Canteen Corporation (collectively "Consolidated/Canteen"), operated three districts in North Carolina and one district in South Carolina. After the reorganization and the consequent reduction-in-force of managers in August of 1990, Consolidated and Canteen operated only two districts in North Carolina and South Carolina collectively. As noted above, O'Connor was terminated and another manager, Allen Hunter, demoted to achieve the reduction in force. Both O'Connor and Hunter were over 50 at the time. Consolidated/Canteen retained Ed Finnell, age 40 at the time, and Mike Kiser, age 35 at the time. O'Connor's old district was combined into the new Four Cs South which was placed under the supervision of Finnell. The new Four Cs South also included Finnell's old district, Canteen's operations in Columbia, Spartanburg, and Greenville, South Carolina.

Discussion

To prove a case of age discrimination, the plaintiff must demonstrate that: he was an employee covered by the Act at the time of the unfavorable employment decision, *i.e.*, that he was over forty years of age; he suffered an unfavorable employment action at the hands of an employer covered by the Act, *e.g.*, discharge; and, the unfavorable employment action occurred "under circumstances in which the employee's 'age was a determining factor' in the action in the sense that "'but for' his employer's motive to discriminate against him because of his age, he would not [have suffered the action]." *Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230, 238 (4th Cir. 1982) (citation omitted).

The plaintiff may prove these substantive elements in either of two ways. First, the plaintiff may rely on ordinary principles of proof just as in any case. In other words, the plaintiff could rely on any direct or indirect evidence admissible under the rules of evidence to prove his case by a preponderance of the evidence. If the plaintiff were not able to carry his burden of proof, the defendant-employer would be entitled to judgment as a matter of law and the case would not go to the jury. *Id.* at 239. Second, the plaintiff may rely on the scheme of proof initially applied to Title VII "disparate treatment" cases and known as the *McDonnell-Douglas* proof scheme. See *McDonnell Douglas Corp. v. Green*, 411 U.S. 792 (1973) and *Texas Dep't of Community Affairs v. Burdine*, 450 U.S. 248 (1980). This scheme of proof favors the plaintiff initially by allowing him to rather easily establish a presumption of discrimination that, once established, compels the

defendant-employer to demonstrate a legitimate, non-discriminatory reason for the unfavorable employment decision.

The *prima facie* case of age discrimination under the *McDonnell-Douglas* proof scheme requires that the plaintiff prove four objective elements, to-wit: (1) he was in the protected age group class under the Act at the time of the unfavorable employment decision; (2) he was discharged; (3) at the time of the discharge, he was performing his job at a level that met his employer's legitimate expectations; and (4) following the discharge, he was replaced by someone of comparable or lesser qualifications outside the protected class. *Equal Employment Opportunity Comm. v. Western Elec. Co.*, 713 F.2d 1011, 1014 (4th Cir. 1983). The Court must grant summary judgment if the plaintiff does no present evidence of each of these four elements; "the claimant should not be permitted to establish a 'prima facie case' by satisfying only the first three elements." *Id.* at 1014-1015.

Although the Fourth Circuit has recognized that the fourth element, as stated, is not rigidly applicable to reduction-in-force cases, *id.* at 1014, it has not foreclosed the application of the fourth element to such cases. In fact, the Court has stated that even in reduction in force cases, the employee must demonstrate that the employer "did not treat age neutrally in its [employment decisions]." *Id.* at 1015; *Equal Employment Opportunity Comm.*, 955 F.2d 936, 943 (4th Cir. 1992) (citing *Western Electric*, 713 F.2d at 1014-1015). *Western Electric* was a large scale reduction in force in which 225 employees were adversely affected. *Id.* at 1013. The instant reduction is not nearly so

large or complex; only two employees, O'Connor and Hunter, were adversely affected.

The fourth element of the *McDonnell-Douglas* proof scheme does not normally "fit" well in reduction-in-force cases because the adversely affected employee cannot point to a replacement with whom the discharged employee would logically compare himself. *Id.* at 1014. In this case, however, there is no such problem. As noted above, the reorganization combined O'Connor's old district, Four C south, with the South Carolina district. Finnell was the manager of the old South Carolina district. The most obvious choices to supervise the new, enlarged district would have been Finnell or O'Connor. Because Consolidated/Canteen chose Finnell to head the new district and take over O'Connor's responsibilities, Finnell essentially replaced O'Connor. Indeed, O'Connor testifies in his affidavit that Consolidated/Canteen replaced him with Finnell. Affidavit of Plaintiff (filed July 9, 1993) at ¶ 9.

In the instant case, therefore, O'Connor has not produced evidence of the fourth element of age discrimination under the *McDonnell-Douglas* proof scheme. The fourth element requires that the employee-plaintiff show that the employer has replaced the plaintiff with a person outside the protected class.¹ Alternatively, the employee-

¹ The Court is fully aware of cases in other circuits that in which the various circuits decline to apply this rule and merely require the age-discrimination plaintiff to demonstrate that he was replaced by a younger person even if the younger person is also in the protected class. See *Carter v. City of Miami*, 870 F.2d 578, 583 n.14 (11th Cir. 1989) (compiling cases). The Court declines to follow these nonbinding precedents.

plaintiff may present other objective evidence that the employer has not treated age neutrally. The protected class consists of all employees age 40 and over at the time of the unfavorable action. 29 U.S.C.A. § 631 (West 1985 & Supp. 1993). At the time of the unfavorable action, August 9, 1990, Finnell was 40 years old.² Because Finnell was within the protected class and O'Connor has presented no other evidence of that Consolidated/Canteen did not treat age neutrally in deciding to terminate him, the Court finds that O'Connor cannot rely on the *McDonnell-Douglas* proof scheme.

O'Connor, however, may prove his case – and defeat this motion for summary judgment – using traditional principles of proof. 713 F.2d at 1014. The principle issue in dispute here is motivation. O'Connor proffers both direct and indirect evidence in his effort to demonstrate discriminatory intent. The direct evidence consists of three remarks that Ed Williams, the decisionmaker for Consolidated/Canteen, made. First, O'Connor testified that Williams remarked – two days prior to O'Connor's termination – "It's about time we started to get some young blood in this company." O'Connor deposition at 44. Williams made this comment in response to the statement of Don Dillingham, another employee, that he was about to turn 50.

Second, O'Connor testified that Williams remarked – within two weeks of O'Connor's termination – "O'Connor, you're two [sic] damn old." O'Connor dep. at 46.

² Finnell turned 41 on August 27, 1990, three weeks after O'Connor's termination.

O'Connor also testified that Williams remarked – during the same conversation – "O'Connor, you're too damn old for this kind of work." O'Connor, however, also testified that he did not remember anything else about the conversation, including the context of the remarks, the general subject of the conversation, or the length of the conversation. O'Connor dep. at 46-47.

Third, O'Connor testified that Williams stated – sometime during June or July of 1990 – that O'Connor was too old to play eighteen holes of golf for five consecutive days. O'Connor, Williams and another employee were watching a playoff of a golf tournament. While watching the tournament, O'Connor remarked that he "couldn't walk that many rounds of golf for five days to play 18 holes for five days." To this comment, Williams responded that O'Connor was "too old." O'Connor dep. at 49.

O'Connor has not presented any evidence that links these three remarks to the decision to discharge him. Stray comments cannot prove age discrimination. In order for O'Connor to rely on these comments to prove age discrimination, he must demonstrate that they were related to the decision to discharge him. *Equal Employment Opportunity Comm. v. Clay Printing Co.*, 955 F.2d 936, 942 (4th Cir. 1992). An age discrimination plaintiff must demonstrate that a nexus exists between allegedly discriminatory statements and the unfavorable employment decision at issue. *Id.*

In the instant case, O'Connor has not demonstrated any nexus between Williams' three comments and the decision to discharge him. The first comment, "It's about

time to get some young blood in this company," was made in response to an employee's own comment on his age. This comment did not indicate an intent to discharge older employees. In *Clay Printing*, the decisionmaker had made comments such as, "too many people have been around here too long and make too much money," and "if employees had been there 10 years or more, they needed to move on," along with references to the company's need to "attract newer, younger people" and "young blood," were not probative of age discrimination or a discriminatory purpose. *Id.* at 942. The Court found that these comments reflect the need of all companies to hire young employees constantly in order to remain vital. The Court noted Chief Judge Haynsworth's comment on this need and the failure of these type comments to show age discrimination:

In any enterprise, today's juniors will be tomorrow's seniors. Today's seniors can help create a foundation for tomorrow's growth and prosperity, but future realization of the potential of an enterprise lies principally with those who will be in positions of leadership and responsibility in the future.

Id. (quoting *Smith v. Flax*, 618 F.2d 1062, 1066 (4th Cir. 1980)). Likewise, the Court finds that Williams' comment on the need for young blood in the company is not probative of a discriminatory intent.

Williams' second comment, "O'Connor, you're too damn old for this kind of work," also is not probative of discriminatory intent. The context of the statement must

indicate discriminatory intent. O'Connor, however, testified that he did not remember the context or the subject matter of the comment. As such, plaintiff has not established a nexus between this comment and the decision to discharge him.

Williams made the third comment, that O'Connor was "too old," in response to O'Connor's admission that he could not walk eighteen holes of golf on five consecutive days. Because O'Connor was not a golfer, but rather a general manager in a catering and vending business, Williams' comment has no probative value. Clearly, Williams' comment did not have any nexus to the decision to terminate O'Connor.

O'Conner [sic] has also proffered indirect evidence of discriminatory intent. O'Conner [sic] argues that he has "substantial indirect evidence tending to show that he was performing well, and that he was better qualified to continue employment than was Ted Finnell. . . ." O'Connor's "substantial evidence," however, consists only of his comparison with Ted Finnell. Most of the indirect evidence that Plaintiff proffers is nothing more than a historical narrative of Plaintiff's employment with Consolidated. The last paragraph of the "Concluding Portion of Memorandum in Response to Motion for Summary Judgment" contains the only possibly probative evidence:

Plaintiff had a better track record than did Finnell. At the time of plaintiff's termination, his next previous performance evaluation was "commenable [sic] minus," whereas Finnell's was "competent minus." Plaintiff placed consistently higher in his salary class than did Finnell within his salary class.

The first statement is merely a conclusion, not evidence. The second statement, although true, is not probative of

the performance of each person at the time of the termination. The evaluations of Finnell and O'Connor were made eight to nine months before the decision to terminate O'Connor. This type of evidence – historical evidence of job performance removed in time from the date of the unfavorable decision – is not probative of discriminatory intent. O'Conner [sic] has presented no evidence to support the conclusion that he was fulfilling the legitimate expectations of his employer *at the time of the discharge* (or at least performing on the same level as Finnell). Plaintiff simply has presented no specific evidence of the level of his performance relative to Finnell's performance at the time of discharge. As such, O'Conner [sic] has not carried his burden of proof. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 256-257 (1986) (plaintiff, in response to adequately-supported motion for summary judgment, has burden of producing evidence that would support jury verdict).

Because O'Conner [sic] cannot present the objective evidence necessary to rely on the *McDonnell-Douglas* scheme of proof and cannot present direct or indirect evidence necessary to prevail under traditional principles of proof, the Court must grant summary judgment for Defendant.

NOW, THEREFORE, IT IS ORDERED that Consolidated's motion for summary judgment will be GRANTED. The Court will file simultaneously with this

memorandum of decision a judgment dismissing the plaintiff's action with prejudice.

This the 27th day of July, 1993.

/s/ Robert D. Potter
 ROBERT D. POTTER
 UNITED STATES
 DISTRICT JUDGE

App. 36

UNITED STATES COURT OF APPEALS
FOR THE FOURTH CIRCUIT

FILED
May 31, 1995

No. 94-1214
CA-91-277-C-C-P

JAMES O'CONNOR
Plaintiff-Appellant

v.

CONSOLIDATED COIN
CATERERS CORPORATION
Defendant-Appellee

EQUAL EMPLOYMENT
OPPORTUNITY COMMISSION
Amicus Curiae

On Petition for Rehearing with
Suggestion for Rehearing In Banc

Appellant filed a petition for rehearing with suggestion for rehearing in banc. The EEOC filed a motion for leave to file a brief for amicus curiae in support of the suggestion for rehearing.

Judge Butzner voted to grant panel rehearing. Judges Hamilton and Luttig voted to deny panel rehearing and the motion of the EEOC.

No member of the Court requested a poll on the suggestion for rehearing in banc.

App. 37

The Court denies the petition for rehearing with suggestion for rehearing in banc.

Entered at the direction of Judge Hamilton for the Court.

For the Court,
/s/ Bert M. Montague
CLERK

UNITED STATES COURT OF APPEALS
FOR THE FOURTH CIRCUIT

FILED
June 8, 1995

No. 94-1214

O'Connor v. Consolidated Coin

MANDATE

The judgment of this Court dated 4/21/95 takes effect today.

BERT M. MONTAGUE
CLERK

IN THE UNITED STATES DISTRICT COURT
FOR THE WESTERN DISTRICT OF
NORTH CAROLINA CHARLOTTE DIVISION

C-C-91-277-P

JAMES O'CONNOR)
Plaintiff,)
v.)
CONSOLIDATED COIN)
CATERERS, CORP.)
Defendant.)

ORDER
(Filed Jan. 7, 1994)

THIS MATTER is before the Court on Plaintiff's motion, filed August 6, 1993, for a new trial. Since the motion is filed under Federal Rule of Civil Procedure 59, and this Court conducted no trial, the Court will treat it as a motion for relief from judgment based upon newly discovered evidence under Federal Rule of Civil Procedure 60(b).

This Court entered summary judgment against Plaintiff on July 27, 1993. The Court entered summary judgment on the ground that Plaintiff had demonstrated insufficient evidence to link derogatory remarks by Mr. Ed Williams (Plaintiff's boss) about Plaintiff's age to the decision to fire Plaintiff.

The motion presently before the Court is premised entirely upon newly discovered evidence embodied in the affidavit of Philip Dennis. Mr. Dennis's affidavit states, *inter alia*, that the day after Plaintiff was fired, Ed William's [sic] told Dennis his boss (Ted Arts) instructed

him to fire Plaintiff. Dennis asked Williams why Plaintiff was fired and he replied he thought it was because, "all of us were getting old, that Jim was getting old, and that there were three other persons around the office who were turning 50." Dennis Affidavit, pp. 1-2, ¶ 2. Dennis's affidavit also states that Williams told him Ted Arts, not Williams, made the decision to fire Plaintiff.

Plaintiff concludes the Dennis affidavit provides a link between the age derogatory remarks and the decision to fire Plaintiff and creates a genuine issue of material fact concerning who made the decision to fire Plaintiff.

ANALYSIS

The standard of law governing a Rule 60 motion requires that the movant demonstrate:

- 1) the evidence is newly discovered since the judgment was entered;
- 2) due diligence on the part of the movant to discover the new evidence has been exercised;
- 3) the evidence is not merely cumulative or impeaching;
- 4) the evidence is material;
- 5) the evidence is such that is likely to produce a new outcome if the case were retried, or is such that would require the judgment to be amended.

Boryan v. United States, 884 F.2d 767 (4th Cir. 1989).

Based upon the Court's review of the Dennis affidavit and the oral argument submitted to the Court, the Court concludes that Plaintiff has failed to demonstrate

either that the evidence in the affidavit would likely produce a new outcome or that Plaintiff exercised due diligence to discover that evidence.

The evidence in the affidavit would not likely produce a different result because it does not definitively establish the missing link between the decision to fire Plaintiff and a prohibited age bias against Plaintiff. The Dennis affidavit does not demonstrate that Plaintiff's firing was motivated by his age. Instead, the affidavit at best demonstrates that Williams believed Plaintiff was fired because of his age. The affidavit neither states that Arts directed Williams to fire Plaintiff because of his age, nor that Williams himself decided to terminate Plaintiff because of his age. Hence, there remains no direct evidence that Plaintiff was fired because of his age.

The affidavit also does not created [sic] a dispute of fact that necessitates the relief Plaintiff seeks. Without some proof of an improper motive for firing Plaintiff, the question of who fired him is not material, even if disputed. Who fired Plaintiff is irrelevant unless it can be shown he was fired unlawfully by someone. Firing an employee without an improper motive is not prohibited by Title VII.

Laying aside the fact that the Dennis affidavit would not likely change the result, it was also not discovered after the exercise of due diligence. Plaintiff cannot deny he had reason to know Dennis would be a worthy person to depose and that, had Plaintiff chosen to, he could have been deposed.

Plaintiff offers two reasons why Dennis was not questioned. First, because Dennis may have been reluctant to tell the truth under oath while on Defendant's payroll. Second, that it would have been too costly for Plaintiff to depose Dennis. Of course, these rationales assume Dennis was known to the Plaintiff as a candidate for deposition. Yet, these reasons do not eliminate the simple fact that Dennis was known to Plaintiff, could have been deposed and was not.

Plaintiff's concern that a witness might not be forthcoming under oath is purely a hypothetical concern that was factored into his litigation strategy. To say that a witness may not have said what the Plaintiff wanted to hear during a deposition does not indicate due diligence was exercised in finding and questioning him. Indeed, had Dennis been questioned and yet not disclosed what he is now saying, it could be more credibly argued that the evidence was not discoverable with the exercise of due diligence. Still, Dennis was not questioned.

Moreover, Dennis was admittedly known to Plaintiff prior to the initiation of his suit as one who had contact with Defendant's management, a person within the class of older employees, and one who would be a likely candidate to unearth evidence of improper company bias against older employees in general and Plaintiff specifically. Yet, for reasons assuredly known to Plaintiff and his counsel, but not particularly relevant to this inquiry, Dennis was not questioned about his knowledge of the circumstances surrounding Plaintiff's firing even though he lived in Plaintiff's home town of Charlotte, North Carolina.

Plaintiff's concern about containing costs is certainly prudent, but it does not show that due diligence was exercised in discovering a known potential witnesses' knowledge about his lawsuit. It only shows that counsel opted for one course of litigation strategy over another within the parameters of his client's limited resources. But this is always the case in litigation. This "prohibitive cost as due diligence" approach would permit virtually *any* undiscovered evidence to be offered up after an unfavorable trial or a summary judgment motion on the ground that it was too costly to find it before the plaintiff lost. That is assuredly not the standard of law for due diligence.

Plaintiff's election to prefer one litigation strategy over another does not transform the decision not to depose Dennis into the exercise of due diligence. Quite to the contrary, it demonstrates that Plaintiff elected not to exercise any diligence at all respecting a known potential witness for reasons wholly within his sound judgment.

NOW, THEREFORE, IT IS ORDERED that Plaintiff's notice for relief from judgment be, and hereby is, **DENIED.**

This the 6th day of January, 1994.

/s/ Robert D. Potter
ROBERT D. POTTER
UNITED STATES
DISTRICT JUDGE

OPPOSITION.

BRIEF

2

No. 95-354
IN THE
SUPREME COURT OF THE UNITED STATES

Supreme Court, U.S.
FILED
SEP 29 1995
CLERK

October Term 1995

JAMES O'CONNOR,

Petitioner,

v.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

**On Petition for Writ of Certiorari to the
United States Court of Appeals for the Fourth Circuit**

**RESPONDENT'S BRIEF IN OPPOSITION TO
PETITION FOR WRIT OF CERTIORARI**

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QUESTIONS PRESENTED

1. Is the Fourth Circuit Court of Appeals in direct conflict with any other court of appeals in terms of a plaintiff's ability to establish a prima facie case of age discrimination utilizing circumstantial evidence.
2. Did the Court of Appeals alter the requirements of proof of motive in a discrimination case by holding that in order to constitute probative evidence of age discrimination alleged ageist statements must be more than isolated ambiguous comments unrelated to any employment decision.

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No. 95-354

IN THE
SUPREME COURT OF THE UNITED STATES

October Term, 1995

JAMES O'CONNOR,

Petitioner,

v.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

RESPONDENT'S BRIEF IN OPPOSITION

Respondent, Consolidated Coin Caterers, Corp.,¹ respectfully requests that this Court deny the Petition for Writ of Certiorari submitted by Petitioner, James O'Connor.

¹ In accordance with Supreme Court Rule 29.1, Consolidated Coin Caterers Corp. is a wholly-owned subsidiary of Canteen Corporation.

OPINIONS BELOW

The Fourth Circuit Court of Appeals affirmed the trial court's grant of a Motion for Summary Judgment in favor of Consolidated Coin Caterers Corp. rejecting Petitioner's claim that he had been discriminated against on the basis of his age in violation of the Age Discrimination in Employment Act. This opinion was issued on April 21, 1995 and was not published.

Petitioner moved for rehearing and suggested rehearing en banc. On May 31, 1995, the Fourth Circuit denied the petition for rehearing and declined the suggestion of rehearing en banc. The court's opinion is reproduced in the Appendix to the Petition for Certiorari. (App. 36-37.) On June 8, 1995, the Fourth Circuit issued an Amended Opinion affirming the trial court's grant of summary judgment, which was published. The court's opinion is reported at 56 F.3d 542 and is reproduced in the Appendix to the Petition for Certiorari. (App. 1-23.)

The Order of the United States District Court for the Western District of North Carolina entering summary judgment in favor of Respondent is unpublished; however, it is reproduced in the Appendix to the Petition for Certiorari. (App. 24-35.) Following the grant of summary judgment by the District Court, Petitioner filed a motion for new trial. The Order of the district court denying Petitioner's motion is unpublished; however, it is reproduced in the Appendix to the Petition for Certiorari. (App. 39-43.)

STATEMENT OF THE CASE

Petitioner's employment with Respondent ended on August 10, 1990. (App. 3.)² At the time of his separation, Petitioner was the manager of the Respondent's South District which consisted of only three (3) geographic territories; i.e. Charlotte, Laurinburg, and Shelby, North Carolina. On August 10, 1990, the Petitioner's position as 4C's South District Manager was eliminated as part of a two state organizational restructuring. (App. 4-5.) In August 1990, Petitioner reported to Regional Vice President, Mr. Edward (Ed) Williams who was responsible for Canteen's operations in North Carolina, which included 4C's and Canteen's separate operations in Greensboro and Raleigh. (App. 3.) Prior to the reorganization, the following District Managers reported to Mr. Williams.

Mike Kiser 4C's NORTH District Manager Territories	Allen Hunter CANTEEN District Manager Territories	Jim O'Connor 4C's SOUTH District Manager Territories
Burlington Smithfield Tarboro South Boston (Virginia) Hickory Asheville Albemarle	Raleigh Greensboro	Charlotte Laurinburg Shelby

² Citation to the Appendix of the Petition for Writ of Certiorari will hereinafter be referred to as "App." followed by the appropriate page number(s).

(App. 3.) Mr. Williams reported to Mr. Ted Arts, President of Canteen's Central Division.

Prior to July 10, 1990, 4C's South had a larger territorial assignment. However, on July 10, 1990, Mr. Williams significantly reduced the size of 4C's South from six (6) geographic territories to the three (3) territories outlined above. Mr. Williams reassigned three territories from 4C's South to 4C's North which was supervised by Mike Kiser. Mr. Williams reassigned these territories because of his concerns about Petitioner's slow responses in reacting to individual problem accounts. When Mr. Williams made this earlier decision, he had no knowledge of Mr. Art's decision to consolidate the North Carolina and South Carolina organizations. (App. 4.) Petitioner did not claim age discrimination based on the July 10, 1990 territory reduction. (App. A 1a-3a.)³

In mid to late July 1990, Mr. Arts notified Mr. Williams regarding a proposed restructuring of the Canteen and 4C's operations in North and South Carolina. Mr. Arts had decided to consolidate into a single region Canteen's North and South Carolina operations and had selected Mr. Williams to manage the new consolidated two-state "Carolinas Region." (App. 4.) In addition, Mr. Arts directed Mr. Williams to combine the management responsibilities previously handled by Regional Vice President Finnell who was responsible for Canteen's South Carolina region and the three North Carolina District

³ Portions of the deposition of Petitioner contained in the Joint Appendix of the appeal to the Fourth Circuit Court of Appeals are attached hereto as Appendix A to the Respondent's Brief in Opposition.

managers: Mr. Kiser, Mr. Hunter, and Mr. O'Connor. (App. 4.)

Thereafter, Mr. Williams decided to divide the new consolidated Region into two newly organized Districts; one covering the northern part of North Carolina and southern Virginia, which would have six geographic territories; and a second district to cover all of South Carolina and the southern portions of North Carolina, which would have nine geographic territories. (App. 5.)

Once the new organizational structure was established, Mr. Williams selected two managers for the new, enlarged Districts. Critical to his selection of managers was the fact that for each of these new Districts, there was to be significantly greater management responsibilities than had been required for any one of the previous districts of 4C's in North Carolina, or Canteen's South Carolina Region. (App. 5.)

Petitioner was not selected for either of the new expanded District Manager positions. Mr. Williams did not select the Petitioner because each of the new Districts had greater responsibilities; i.e., larger numbers of territories, many more accounts, and many more employees than Petitioner had previously managed in 4C's South. (App. 5-6.) A critical element in Petitioner's non-selection was the fact that prior to Mr. Arts' decision to consolidate the North and South Carolina Regions, Mr. Williams had earlier reduced the size of the 4C's South District supervised by Petitioner, from six (6) geographic territories to only three (3) territories. Mr. Williams' decision in early July 1990 to remove three (3) territories from 4C's South and assign them to 4C's North, which was then supervised by Mike Kiser, was based on Mr. Williams' concerns about Petitioner's slow

responses in reacting to individual problem accounts as the 4C's South District Manager. An additional incident considered by Mr. Williams was his discovery in July 1990 that Petitioner had failed to timely respond to a problem involving food delivery in unrefrigerated trucks. (App. 6.)

SUMMARY OF THE ARGUMENT

The Petition should be denied because no conflict exists between the courts of appeal in terms of the utilization of circumstantial evidence to establish a prima facie case of age discrimination. Contrary to the Petitioner's argument, the Fourth Circuit's application of the fourth element of the McDonnell Douglas test does not act as a "gatekeeper" on the use of circumstantial evidence to establish a prima facie case of age discrimination. Circumstantial evidence, if otherwise probative, can be used to raise an inference of illegal motivation in discrimination cases. The fact that a plaintiff must point to someone outside the protected class when utilizing the McDonnell Douglas test certainly does not foreclose a plaintiff from relying upon an intra-protected-group age comparison as circumstantial evidence of age discrimination under traditional methods of proof. A plaintiff's burden or level of proof required to raise an inference of discrimination using circumstantial evidence is not different, nor any greater, in the Fourth Circuit than in any other circuit. Simply stated, there is no direct conflict among the courts of appeal in terms of a plaintiff's ability to establish an inference of age discrimination using circumstantial evidence.

The Petition should also be denied because the court below did not articulate new requirements of proof to be applied to the alleged ageist comments. The court of appeals

merely applied established case precedent and found the statements unrelated to any employment decision made by Respondent and therefore immaterial to the question of age discrimination. The second question as presented by Petitioner is nothing more than his opinion that the decision below was incorrect and his desire to have this Court review the lower court's application of existing case precedent to the facts in the record. Clearly, this is an insufficient reason to grant a petition for certiorari. No direct conflict among the courts of appeal, nor any conflict between this Court and a court of appeals, is presented; no unsettled question of federal law is presented. Moreover, the petition should be denied because the decision below was correct; the statements identified are not probative of age discrimination.

Finally, the Petition should be denied as to Petitioner's subsidiary questions because none of them presents an issue sufficient to support the granting of a petition for certiorari. All three of these questions are nothing more than Petitioner's opinion that the decision below was incorrect and his desire to have this Court review the lower court's application of the law to the facts. This argument is insufficient to support a grant of certiorari.

REASONS FOR DENYING THE WRIT

I. THE PETITION SHOULD BE DENIED BECAUSE NO CONFLICT EXISTS BETWEEN THE CIRCUITS IN TERMS OF THE UTILIZATION OF CIRCUMSTANTIAL EVIDENCE TO ESTABLISH A PRIMA FACIE CASE

Petitioner presents a question that mischaracterizes the Fourth Circuit's application of the McDonnell Douglas test in an age discrimination lawsuit. Petitioner posits that the Fourth Circuit requires that in order to establish a prima facie case one must point to someone outside the protected class. However, this proposition is fatally flawed because it ignores the clear case precedent of this Court and the appellate court below.

The Fourth Circuit has held that the fourth element of the McDonnell-Douglas rubric requires a Plaintiff to prove that "following his discharge or demotion, [he] was replaced by someone of comparable qualifications outside the protected class." O'Connor v. Consolidated Coin Caterers Corp., 56 F.3d 542 (4th Cir. 1995)(citation omitted). (See Petitioner's App. 8-9.)⁴ Other courts of appeal have articulated the same test but require that the plaintiff point to a replacement who was younger, even if that person is within the protected group. (App. 10 n.1.) Petitioner urges that this distinction warrants review by this Court. However, any variance between the courts of appeal in applying McDonnell

⁴ Citation to the Appendix of the Petition for Writ of Certiorari will hereinafter be referred to as "App." followed by the appropriate page number(s).

Douglas is not significant and does not affect the ability of a plaintiff to raise an inference of age discrimination by means of circumstantial evidence.

Contrary to the Petitioner's suggestion, the Fourth Circuit's application of the fourth element of the McDonnell Douglas test does not act as a "gatekeeper" on the use of circumstantial evidence to prove a prima facie case of age discrimination. Circumstantial evidence, if otherwise probative, can be used to raise an inference of illegal motivation in discrimination cases. The fact that a plaintiff must point to someone outside the protected class when utilizing the McDonnell Douglas test certainly does not foreclose a plaintiff from relying upon an intra-protected-group age comparison as circumstantial evidence of age discrimination under traditional methods of proof. A plaintiff's burden or level of proof required to raise an inference of discrimination using circumstantial evidence is no different, nor any greater, in the Fourth Circuit than in any other circuit. Simply stated, there is no direct conflict among the courts of appeal in terms of a plaintiff's ability to establish an inference of age discrimination using circumstantial evidence.

The test articulated in McDonnell Douglas is not a rigid, inflexible formula for proving discrimination by means of indirect evidence. As this Court long ago explained, "[t]he facts necessarily will vary [from case to case], and the specification . . . of the prima facie proof required from [a plaintiff] is not necessarily applicable in every respect in differing factual situations." McDonnell Douglas Corp. v. Green, 411 U.S. 792, 802 n.13 (1973); see also Texas Dep't of Community Affairs v. Burdine, 450 U.S. 248 n.6 (1981) and U.S. Postal Svc. Bd. of Governors v. Aikens, 460 U.S. 711 (1983). Significantly here, the case law in the court

below demonstrates that the McDonnell Douglas formula is not the only way by which a plaintiff may utilize indirect or circumstantial evidence to establish a prima facie case of discrimination:

In order to establish a cause of action under the ADEA, a plaintiff must demonstrate that but for the employer's motive to discriminate against the plaintiff on the basis of age, the plaintiff would not have been discharged. This can be established in one of two ways. The plaintiff may meet this burden under the ordinary standards of proof by direct or indirect evidence relevant to and sufficiently probative of the issue. In the alternative, a plaintiff may resort to the judicially created scheme established in McDonnell Douglas Corp. v. Green, 411 U.S. 792, 93 S.Ct. 1817, 36 L.Ed.2d 668 (1973), and Texas Department of Community Affairs v. Burdine, 450 U.S. 248, 101 S.Ct. 1089, 67 L.Ed.2d 207 (1981). . .

EEOC v. Clay Printing Co., 955 F.2d 936, 940 (4th Cir. 1992) (emphasis added). Therefore, the critical question for resolving the Petition is whether a direct conflict exists between the courts of appeal as to a plaintiff's ability to utilize circumstantial evidence to create an inference of age discrimination. There is no such conflict.

As Petitioner correctly identifies in his petition, in some circuits, an intra-protected-group age comparison can be utilized as circumstantial evidence under the McDonnell Douglas rubric. However, not all intra-protected-group

comparisons will satisfy the fourth prong in these circuits. As the Seventh Circuit has explained:

We hasten to add that this formulation of the fourth factor is not talismanic; a felicitous birth order will not always support an inference of age discrimination. Preference for a 74-year-old job applicant over a 75-year-old is unlikely to suffice in establishing a prima facie case. The disparity in age within the protected class must be sufficient to create a reasonable inference of age discrimination.

Roper v. Peabody Coal Co., 47 F.3d 925, 927 (7th Cir. 1995)(emphasis in original), citing Bienkowski v. American Airlines, 851 F.2d 1503, 1506 (5th Cir. 1988); Kralman v. Illinois Dept. of Veterans' Affairs, 23 F.3d 150, 156 n.7 (7th Cir.), cert. denied, ___ U.S. ___, 115 S. Ct. 359 (1994); Maxfield v. Sinclair Int'l, 766 F.2d 788, 792 (3rd Cir. 1985), cert. denied, 474 U.S. 1057 (1986); and Loeb v. Textron, Inc., 600 F.2d 1003, 1013 (1st Cir. 1979). Therefore, the fact that a plaintiff was replaced by someone younger within the protected class does not automatically satisfy the fourth prong of McDonnell Douglas.

In the present case, the court below in fact made an intra-protected-group comparison and considered the age difference between Petitioner and Mr. Finnell under traditional principals of proof:

Conversely, O'Connor contends that his performance was satisfactory and that his evidence tended to establish that Consolidated did not treat age neutrally in discharging him.

To support these contentions, he relies on: . . . (2) Finnell and Kiser, the younger men, one of whom was outside the protected class, were retained while he and Hunter, the older men, were respectively discharged and demoted; . . .

We conclude that O'Connor failed to demonstrate Consolidated did not treat age neutrally in discharging him. Focusing on retaining Finnell and Kiser, O'Connor is not comparable to Kiser or Finnell since his territory was reduced prior to his termination due to his slow response to problem accounts.

(App. 12-14, 19) (emphasis added). The court below correctly held that in this case the intra-protected-group comparison could not provide a sufficient inference of discrimination because Petitioner and Mr. Finnell were not comparable because of Petitioner's performance problems, which were absent from Finnell's or Kiser's performance at the time of the challenged employment decision. However, the point dispositive of the present Petition is that the Fourth Circuit does in fact utilize intra-protected-group comparisons as circumstantial evidence of discrimination. Therefore, Petitioner was not restricted by the court below in raising an inference of age discrimination.

The Fourth Circuit's application of the fourth element of the McDonnell Douglas test clearly did not act as a "gatekeeper" on the use of circumstantial evidence in the present case nor in any other case. No significant conflict exists between the courts of appeal in the utilization of circumstantial evidence to raise an inference of age discrimination. Accordingly, the Petition should be denied.

II. THE PETITION SHOULD BE DENIED INsofar AS IT SEEKS REVIEW OF THE REQUIREMENTS OF PROOF APPLIED TO THE ALLEGED AGEIST COMMENTS.

A. The Fourth Circuit Did Not Articulate New Requirements Of Proof; Rather, It Simply Applied Established Case Precedent To The Alleged Ageist Comments

Petitioner argues that his Petition should be granted to review whether the court below fundamentally altered the requirements for proof of motive in holding that Petitioner failed to make out a prima facie case of age discrimination based on direct and indirect evidence because (a) the decision-maker's statement that petitioner was "too damn old for this kind of work" was not made in the context of replacing petitioner, and (b) other statements of age animus by the decision-makers were not made in the context of terminating petitioner. However, the Petition should be denied because Petitioner's characterization of the question misstates the appellate court's rationale for its rejection of the three alleged age biased comments. Specifically, the court below did not articulate some new requirement of proof in rejecting these alleged comments as probative of age discrimination. Instead, it merely applied established case precedent and found the statements unrelated to any employment decision made by Respondent and therefore immaterial to the question of age discrimination. (App. 16-19.) This analysis required no new or different requirements of proof.

In analyzing the three alleged ageist comments, the court below applied the following well established principals: First, "that isolated and ambiguous statements . . . 'are too

abstract, in addition to being irrelevant and prejudicial, to support a finding of age discrimination.'" Gagne v. Northwestern Nat'l Ins. Co., 881 F.2d 309, 314 (6th Cir. 1989)(quoting Chappell v. GTE Prods. Corp., 803 F.2d 261, 268 n.2 (6th Cir.), cert. denied, 480 U.S. 919 (1987)). Second, that there must be some "nexus ... between the alleged discriminatory statements and any of the employment decisions made by the [employer]." EEOC v. Clay Printing Co., 955 F.2d at 942; see also McCarthy v. Kemper Life Ins. Cos., 924 F.2d 683, 686-87 (7th Cir. 1991)("[u]nless the remarks upon which plaintiff relies were related to the employment decision in question, they cannot be evidence of a discriminatory discharge"). Figures v. Board of Pub. Utils., 967 F.2d 357, 360-61 (10th Cir. 1992)(noting that racial comments are not probative of discrimination unless they are linked to the challenged action); Merrick v. Farmers Ins. Group, 892 F.2d 1434, 1438-39 (9th Cir. 1990)(holding that certain statements unconnected to the employment-making process are simply stray remarks that do not demonstrate discriminatory intent).

The principles applied are consistent with Justice O'Connor's observations in Price Waterhouse v. Hopkins, 490 U.S. 228, 109 S. Ct. 1775 (1989):

Thus, stray remarks in the workplace, while perhaps probative of sexual harassment, see Meritor Savings Bank v. Vinson, 477 U.S. 57, 63-69, 106 S.Ct. 2399, 2404-07 (1986), cannot justify requiring the employer to prove that its hiring or promotion decisions were based on legitimate criteria. Nor can statements by nondecisionmakers, or statements by decisionmakers unrelated to the decisional process itself, suffice to satisfy the

plaintiff's burden in this regard. . . . What is required is what Ann Hopkins showed here: direct evidence that decisionmakers placed substantial negative reliance on an illegitimate criterion in reaching their decision.

Id. at 1804-05 (emphasis added).

As this Court has held: "We do not grant a certiorari to review evidence and discuss specific facts. . ." United States v. Johnston, 268 U.S. 220, 227 (1925). The second question as presented by Petitioner is nothing more than his opinion that the decision below was incorrect and his desire to have this Court review the Fourth Circuit's application of existing case precedent to the facts in the record. Clearly, this is an insufficient reason to grant a petition for certiorari. No direct conflict among the courts of appeal nor any conflict between this Court and a court of appeal is presented; no unsettled question of federal law is presented. Therefore, the petition should be denied.

B. The Petition Should Be Denied Because The Decision Of The Fourth Circuit Is Correct. The Statements Identified Are Not Probative Of Age Discrimination.

Applying the established principles outlined above in section II-A to the three alleged comments, the court below correctly held that these statements were not probative of age discrimination. (App. 16-19.) First, as to the alleged statement made in regard to Don Dillingham's birthday

(App. A 4a-5a.)⁵, there is absolutely no argument that this statement has any "nexus" with the Petitioner or the challenged employment decision. As Petitioner's own testimony clearly demonstrates, Mr. Williams statement was made in the "context" of commenting on Mr. Dillingham's voluntary observation that it would soon be his birthday, not in the context of any employment decision, such as, to eliminate Petitioner's position. (App. A 4a-5a.) Clearly, there is no nexus between this alleged statement and Mr. Williams' decision to select Mr. Kiser and Mr. Finnell to fill the two new District Manager positions. See Cone v. Longmont United Hosp. Ass'n, 14 F.3d 526, 531 (10th Cir. 1994) ("Isolated comments, unrelated to the challenged action, are insufficient to show discriminatory animus in termination decisions.") citing Leichihman v. Pickwick Int'l, 814 F.2d 1263, 1271 (8th Cir. 1987), cert. denied, 484 U.S. 855 (1987). See also Phelps v. Yale Sec., Inc., 986 F.2d 1020, 1026 (6th Cir. 1993), cert. denied, ___ U.S. ___, 114 S. Ct. 175 (1993) (the comment that plaintiff's fifty-fifth birthday was a cause for concern "was too ambiguous to establish the necessary inference of age discrimination").

Similarly, the alleged comment made by Mr. Williams in reference to Petitioner's ability to play eighteen holes of golf has no nexus with the challenged employment decision. (App. A 9a-10a.)⁶ A comment in reference to the

⁵ The portions of the deposition testimony of Petitioner cited by Respondent are attached hereto as Appendix A to the Respondent's Brief In Opposition.

⁶ In his Petition, Petitioner asserts that this statement was made "contemporaneously" with the reduction of his
(continued...)

Petitioner's ability to play golf can be viewed as nothing more than an isolated and ambiguous statement and therefore insufficient to support a finding of age discrimination. See Hong v. Children's Memorial Hosp., 993 F.2d 1257, 1265 (7th Cir. 1993), cert. denied, ___ U.S. ___, 114 S. Ct. 1372 (1994) (in a Title VII case, the supervisor's occasional comments that the Korean-American employee should "learn to speak English" was insufficient to show discrimination).

As to the third alleged statement, Petitioner alleges that Mr. Williams made the following remark to him two weeks prior to his termination: "O'Connor, you are too damn old for this kind of work." (App. A 6a-8a.) However, as Petitioner's own testimony demonstrates, there is no nexus between the challenged decision and Mr. Williams' alleged remark:

- Q: What were you talking about?
A: I don't remember.
Q: Were you talking about some business matters?
A: I don't remember.
...
Q: Do you recall what you were talking about?
A: No.

⁶(...continued)
territories in July 1990 and that this reduction in territory was "without justification". (Petition for Writ of Certiorari at 9.) Interestingly, no administrative charge was filed challenging this business decision. (App. A 1a-3a.) Petitioner can point to no facts in the record to support these argumentative propositions.

(App. A 7a-8a) (emphasis added). Thus, it is clear that Petitioner has failed to show that the statement was made in any context of an employment decision, such as, replacing Petitioner. Therefore, at best, only unreasonable conjecture or speculation can attempt to connect this alleged statement with Mr. Williams decision to select Mr. Finnell or Mr. Kiser for the new and expanded District Manager positions.

Equally significant, the alleged statement says nothing about younger employees; it does not even purport to contrast or compare Mr. O'Connor with anyone else, young or old! However, the most compelling observation is that Mr. O'Connor has absolutely no facts about what the alleged conversation was regarding. ("Q: Were you talking about some business matter? A: I don't remember.") Clearly, Petitioner's reliance on Mr. Williams' alleged statements simply is insufficient to demonstrate that Mr. Williams wanted to get rid of older workers and replace them with younger workers or that Mr. Williams considered the age of any employee in his decisions involving the two new District Manager positions.

Petitioner also claims that the court's analysis below is in conflict with other circuits and cites Smith v. Great American Restaurants, Inc., 969 F.2d 430 (7th Cir. 1992) and Alphin v. Sears, Roebuck & Co., 904 F.2d 1497 (11th Cir. 1991) to support this argument. (Petition for Certiorari 10.) However, contrary to Petitioner's assertion, these cases are consistent with the analysis of the court below.

In Smith, the court found direct evidence of discrimination based on the following:

The jury, however, chose to believe Smith and her witnesses, who testified that she was fired specifically for being "too old to cut it." This is not a case in which the employee's charge of illegal discrimination rests on mere conjecture. Here there was ample evidence, including direct evidence, of age-based discrimination. In addition to Smith's own testimony, which was buttressed by the testimony of other GAR employees, there was the testimony of Erma Bolan, who was informed by Mills that he had fired Smith in order to replace her with a younger manager.

969 F.2d at 434-35 (emphasis added). Clearly, Smith presented the very type of direct evidence which is missing from the present case. Petitioner cannot point to any statements which indicate age was a determining factor in Mr. Williams' decisions involving the two new district manager positions. It requires pure conjecture to connect Mr. Williams' alleged statement to his later decision to fill the two new District Manager positions. Therefore, Smith is simply not applicable to the present situation. See also Alphin v. Sears, Roebuck & Co., 940 F.2d 1497, 1499 (11th Cir. 1991) (statement "both of us had been around too long and were too old and were making too much money" held to be circumstantial evidence; however, summary judgment denied based on cumulative circumstantial evidence which included that the employer disciplined the plaintiff for offenses which it ignored in others; especially significant was a discipline dated April 1 for a violation of a policy which plaintiff did not receive until April 9).

C. The Petition Should Be Denied As To Petitioner's Subsidiary Questions Because None Of These Questions Present An Issue Sufficient To Support The Granting Of A Petition For Certiorari.

In footnote 5 of his Petition for Writ of Certiorari, Petitioner argues that this Court should consider as a subsidiary question whether the circuit court erroneously segmented petitioner's evidence into discretely considered segments and thereby failed to consider it in its totality. Once again, as outlined above, this question is nothing more than Petitioner's opinion that the decision below was incorrect and his desire to have this Court review the lower court's application of the law to the facts. This argument is insufficient to support a grant of certiorari. Moreover, a review of the court's opinion below clearly demonstrates that all of the evidence of the Petitioner was considered but the court correctly found it failed to raise any inference that Petitioner was discriminated against: "We conclude that regardless of how O'Connor's claim of age discrimination is viewed, he failed to raise a genuine issue of material fact precluding summary judgment." (App. 20.)

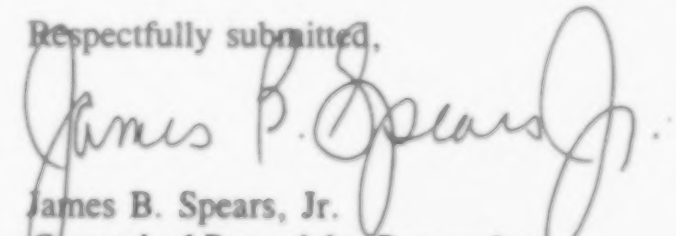
Petitioner next identifies as a subsidiary question whether the circuit court erred in affirming the district court's refusal to grant a new trial. Here, the petition should be denied because Petitioner fails to identify any grounds which would warrant the granting of the petition on this question. A review of the record clearly demonstrates that the court below correctly decided this issue. Once again, the Petitioner wants this Court to review the question simply because he disagrees with the result; however, Petitioner's unhappiness does not warrant the grant of a petition for certiorari.

Finally, Petitioner argues as a subsidiary question whether the court of appeals erred in crediting as fact that petitioner was not even a contender for continued employment. Again, Petitioner mischaracterizes the lower court's analysis. The passage cited by Petitioner is not a theory of Respondent. Moreover, Petitioner failed to raise this issue in the proceedings below and therefore the petition should not be granted. Ernst & Ernst v. Hochfelder, 425 U.S. 185, 194 n.13, reh'g denied, 425 U.S. 986 (1976). Moreover, this Court does not grant certiorari to review evidence and discuss specific facts. United States v. Johnston, 268 U.S. 220, 227 (1925).

CONCLUSION

Consolidated Coin Caterers Corp. prays that this Court deny the petition for writ of certiorari because the case presents no issue appropriate for the Court's review, and because the lower court's analysis was not in error.

Respectfully submitted,



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APPENDIX A

Portions of the Deposition
Testimony of James O'Connor
Contained In The Joint
Appendix Of The Appeal To
The Fourth Circuit Court of
Appeals.

MR. DALY: I don't have a signed copy either. I guess the EEOC has got the only signed copy. The one I sent you, you just signed it and mailed it on without changing it?

A. Yes.

Q. Do you want to stipulate that this was the charge?

MR. DALY: Yes. As far as I'm concerned, that's the charge.

Q. Mr. O'Connor, have you had a chance to review that last page to the EEOC charge?

A. Uh-huh (yes).

Q. Is that the charge you filed with the EEOC?

A. Yes.

Q. When you filed this, were you represented by Mr. Daly?

A. I don't remember. I believe so, but I'm not sure.

Q. Did you actually type this up yourself, or do you know who typed it?

A. I have no idea who typed it.

Q. But you read it and signed it?

A. Yes.

Q. Mr. O'Connor, just explain to me what you were complaining about in your EEOC charge. What had happened to you that you thought was discriminatory because of your age?

- A. Well, I originally was led to believe that my job had been eliminated, and all of a sudden, in my neighborhood, one Ted Finnell moved in and had been transferred or moved from South Carolina up to Charlotte. And I felt at that time that the job really hadn't been eliminated; that they had just brought someone in to take my place.
- Q. Did Mr. Finnell take these former branches that you supervised?
- A. I believe so, but I am not certain because I haven't had anything to do with the company since my termination.
- Q. But aside from whatever Mr. Finnell did or didn't do, what is it you are complaining about in your EEOC charge?
- A. I felt that I was discharged because of my age.
- Q. Anything else?
- A. No.
- Q. It's your discharge you are complaining about, is that right?
- A. Yes.
- Q. Do you remember when you filed this charge?
- A. I believe it was in December, but I'm not sure.
- Q. Of what year?
- A. 1990.

J.A. 117

- Q. The December after you were discharged in August?
- A. Yes.
- Q. Have you filed any other charges with the EEOC?
- A. No.
- Q. Have you filed any other charges with any other agency?
- A. No.
- Q. Mr. O'Connor, I guess we may be going backwards in time, but that may be the more recent way to describe your responsibilities. And you have told us your last position was district manager, food and vending, and you were responsible for three branches, Charlotte, Shelby, and Laurinburg, is that right?
- A. Correct.
- Q. You had that responsibility beginning in December of '89 until your termination in August of '90?
- A. Yes.
- Q. What I would like for you to do is move back to the position you had before that and tell me what your title was and your areas of responsibility.
- A. I was regional general manager or regional vice president, because they had just changed the title, of what we called 4Cs North with an office in Burlington, North Carolina and with branches that were located in Burlington, Tarboro, Raleigh, South Boston.

J.A. 118

- A. Oh.
- Q. What does that mean?
- A. Just I was surprised, shocked, you know. This was nothing that was seen coming. I was taken completely by surprise.
- Q. Well, what part of what he told you was your response "Oh" to?
- A. That he wasn't considering offering me another position because he knew I didn't want it.
- Q. Well, was that true, or did you disagree with that?
- A. I don't know. I wasn't offered one, so I didn't have any choice. And the point was that I would have taken a little time to think about it.
- Q. Did you ask for time to think about anything?
- A. I wasn't offered a job, sir.
- Q. Do you recall anything else said in that discussion?
- A. Yeah. Ed said that he was sorry that I had gone through the trouble to move to Charlotte.
- Q. What else was said?
- A. That's all I remember.
- Q. Did he say anything about your age at any time in this meeting?
- A. No, not that I recall.
- Q. You said he had made references to your age on several occasions. When was the last one you recall?

J.A. 121

- A. Two days previously.
- Q. What happened?
- A. We were in the car. We were on a tour of Shelby with Don Dillingham, and Don Dillingham made mention of the fact that he was soon to be 50.
- Q. That Mr. Dillingham was soon to be 50?
- A. Yes, that he was soon to be 50. And Ed said, "It's about time we started to get some young blood in this company."
- Q. The three of you were in the car?
- A. Yes.
- Q. Did anyone respond to that?
- A. No, not that I remember anyway.
- Q. What was your reaction to that?
- A. Well, being that it had been said on numerous occasions preceding that, I didn't say anything.
- Q. Did Mr. Dillingham respond to that?
- A. I don't remember.
- Q. Was there a pregnant pause; was there a dead silence; or did anybody laugh or giggle? Try to describe the environment to me.
- A. I don't really remember.
- Q. You don't remember?
- A. Not to the point where I would say it under oath, no, because I'm not that sure of it.

J.A. 122

- Q. Did the thought that Mr. Williams might have been kidding cross your mind?
- A. No.
- Q. Did it ever cross your mind?
- A. No.
- Q. Has it ever crossed your mind since then?
- A. No.
- Q. Let's stay with that one for just a minute. Did you ever talk with Mr. Dillingham privately about Mr. Williams' comments?
- A. No. I didn't see him after that.
- Q. Did you ever talk with anyone else about Mr. Williams' comments that he made in the car with Mr. Dillingham?
- A. Not necessarily about that, but I did talk to Allison Shirk.
- Q. When?
- A. When she was present one day when he made the same statement.
- Q. Was this a previous occasion than the one involving Mr. Dillingham?
- A. Yes.
- Q. How much previously as best you can?
- A. Within two weeks.
- Q. Is this like in July of 1990?
- A. No, no, no. I said within two weeks.

J.A. 123

- Q. Of what?
- A. Well, it probably was. You're right. It was in July. I was thinking that it was later than that. Yeah, it probably was in July, the latter part of July, when he made that statement in front of Allison.
- Q. Well, set the stage for me. Where are we? Are we in another car?
- A. We're in my office.
- Q. In your office at the 4Cs corporate office?
- A. Complex, right. Allison Shirk's office was directly adjacent to mine, and she heard the comment because she made a remark about it. And I said to her, "Allison, just --"
- Q. Well, before we get to that, why don't you re-create the comment to me.
- A. "O'Connor, you're too damn old."
- Q. Was this Mr. Williams in your office?
- A. Yes.
- Q. Anybody else present?
- A. No.
- Q. What were you all talking about?
- A. I don't remember.
- Q. Were you talking about some business matter?
- A. I don't remember.
- Q. But Mr. Williams came to your office?

J.A. 124

- A. Yes.
- Q. And tell me the conversation that you recall.
- A. The part that I remember is the part where he said, "O'Connor, you're too damn old for this kind of work."
- Q. What was your response to that?
- A. I said, "Allison, did you hear that?" And she made a comment to Ed that he shouldn't say things like that.
- Q. She was in the next office?
- A. Yes.
- Q. When you said, "Allison," were you, so to speak, talking through the doorway to her?
- A. Yes.
- Q. Was your door open?
- A. Yes. So was hers.
- Q. What was Ed's response to that?
- A. I believe he left the office.
- Q. Do you recall what you all were talking about?
- A. No.
- Q. How long was Ed in your office?
- A. I don't know. I don't remember.
- Q. Well, had he been in there 30 minutes or three minutes?
- A. I don't remember how long; I don't.
- Q. Was it in the morning or afternoon?
- A. I believe it was in the afternoon, late afternoon.

J.A. 125

- Q. Any other occasion where you recall Mr. Williams making any comments about your age?
- A. He said it one other time in front of -- that I remember. He said it one other time in front of Steve Carpman.
- Q. Set the stage. Where, when, and what were the circumstances?
- A. I believe we were in a conference room.
- Q. At the corporate offices?
- A. Yes.
- Q. When?
- A. Probably sometime during June or July.
- Q. Of 1990?
- A. Of 1990.
- Q. Who else was present?
- A. I don't think anyone was.
- Q. Well, were you present?
- A. Yes.
- Q. And Mr. Williams?
- A. Yes.
- Q. And Mr. Carpman?
- A. Yes.
- Q. But no one else?
- A. No.
- Q. Why were you all together?

J.A. 126

- A. We might have been watching a golf match, a Monday playoff of -- I guess it was the U.S. Open.
- Q. What did he say?
- A. Same thing.
- Q. Well, what is that?
- A. That I was too old.
- Q. Why did that come up?
- A. I don't remember. Something to do with the golf, I think, playing five days, 18 holes a day. I made the comment, I think -- and I'm trying to remember, but I'm not sure -- it was the fact that I couldn't walk that many rounds of golf for five days to play 18 holes for five days.
- Q. And he was responding to your comment?
- A. That's correct.
- Q. As best you recall, tell me what his comments were.
- A. That I was too old.
- Q. Too old what?
- A. Just too old.
- Q. Did he say anything else?
- A. No.
- Q. Did he say you were too old to work or too old to play golf?
- A. He just said I'm too old.
- Q. What was your response to that?

J.A. 127